

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**SAMSUNG ELECTRONICS AMERICA, INC.'S
INITIAL BRIEF IN SUPPORT OF ITS CLAIMS
AGAINST SM LINE CORPORATION**

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I. INTRODUCTION

Samsung Electronics America, Inc. (“SEA”) respectfully submits that the evidence gathered in this proceeding establishes that SM Line Corporation’s (“SM Line”) policies and practices concerning over 18,000 demurrage and detention (“D&D”) charges on store door moves of SEA cargo between 2020 and 2022 violated the Shipping Act of 1984, 46 U.S.C. § 40101 *et seq.* (2019) (“Shipping Act”) and the Ocean Shipping Reform Act of 2022 (“OSRA”). While some of the violations were standalone issues and some were overarching, all violations point back to SM Line’s unreasonable practices and policies. Whether it be D&D directly charged by SM Line to SEA or D&D SM Line required SEA to pay to the rail lines, terminals, and truckers despite cargo moving on store door terms, the effect was the same: SEA was wrongfully forced to pay \$14.6 million it should never have had to pay. SM Line’s policies and practices of foisting these D&D charges and obligations on SEA occurred on a normal, customary, and continuous basis, entitling SEA to reparations for the \$14.5 million¹ in D&D charges paid and \$2.6 million in additional damages suffered on SM Line store door moves. In support, SEA submits this initial brief, accompanied by its separate proposed findings of fact, and appendix.

II. SUMMARY OF ARGUMENT – SM LINE’S SHIPPING ACT VIOLATIONS

All that remains in this dispute is the determination of the quantum of reparations. On the issue of liability, the Presiding Officer will be able to recite SM Line’s own internal analysis, created days after SEA filed its complaint before the Federal Maritime Commission (“FMC” or “Commission”), where SM Line internally concedes responsibility for millions of D&D charges it forced SEA to wrongfully pay. This is the foundation for the ruling on Shipping Act violations.

¹ As a three-year statute of limitations governs SEA’s claims, charges incurred prior to April 20, 2020 (*i.e.*, three years before SEA filed its Complaint) were excluded from damages calculations which lowered the recoverable value of the D&D charges paid by SEA from \$14.6 to \$14,534,787.00.¶ PFF 347; *infra* p. 48 fn. 22.

Of course, SEA's proposed findings of fact ("PFF") should not and do not rest on these statements against interest alone. There is ample evidence supporting SM Line's Shipping Act violations and tone-deaf admissions of its attempts to maximize D&D collection to maintain record-breaking profits for the nascent company, including knowingly continuing to do so after the enactment of OSRA. The Presiding Officer has the power of the pen to send this company, established in 2017, an important message that its wrongful actions should not be repeated. SM Line must recompense SEA for the damages suffered as a result of its wrongful conduct, as alleged nearly a year ago in its April 19, 2023 Complaint (Dkt. No. 1) filed with the FMC.

In its Complaint, SEA alleges SM Line violated the Shipping Act based on its gross departure from standard industry practices with respect to shipments moving under through bills of lading, *i.e.*, store door shipments, between 2020 and 2022 ("Relevant Time Period"). In store door shipments, the ocean carrier is responsible for arranging and paying for both the ocean and inland movement of cargo. As such, during the Relevant Time Period, SM Line was responsible for, and should have paid, all D&D charges for the inland transportation of SEA shipments, except for very limited circumstances where SEA's actions caused such charges.

After inordinately protracted, costly, and contested discovery, the record evidence now conclusively corroborates SEA's allegations that: (i) early in the pandemic, SM Line decided to take advantage of the chaos and unprecedented supply chain disruption caused by the pandemic; (ii) SM Line unjustifiably began shifting its responsibilities under store door moves to SEA and attempted to re-write the terms of through bills of lading as it went along; and (iii) with both thinly-veiled threats and heavy-handed examples of not moving SEA shipments in time or at all, SM Line issued (or let SEA be invoiced by third parties such as terminals or truckers), and forced SEA to pay, D&D charges for which SM Line was responsible during the Relevant Time Period.

SM Line's shift of D&D responsibilities from itself to SEA is unreasonable because:

- **First**, the party being charged (SEA) is not responsible for the inland movement, and charging such a party cannot serve D&D's primary function to incentivize the movement of cargo. Likewise, SM Line (the party responsible for moving SEA cargo) is not incentivized to move cargo by charges (i) it does not pay, or (ii) that are paid to SM Line when SM Line does not move cargo within free time;
- **Second**, SM Line required SEA's payment of D&D charges without first evaluating whether SM Line (or SEA) was actually responsible for payment of the charges;
- **Third**, SM Line cannot satisfy the mandate to certify that "the common carrier's performance did not cause or contribute to the underlying invoiced charges," an unreasonable practice both pre and post OSRA codification of the interpretation; and
- **Fourth**, the obligation to arrange terminal cargo release under a through bill of lading is solely SM Line's obligation, not SEA's.

SM Line's additional unreasonable invoicing and collection practices also include:

- **Failure to Verify Validity of D&D Charges**: Understanding D&D charges to be sources of [REDACTED] and singularly focused on its [REDACTED] of maximizing revenues, SM Line automatically considered all D&D charges to be SEA's responsibility, regardless of the cause or whether any amounts were in dispute. Testimony from SM Line employees establishes that SM Line did not have or apply any procedures, practices, or policies to determine whether D&D charges were validly charged;
- **Absence of any Clear, Much Less Cohesive, D&D Dispute Process**: While D&D disputes were ostensibly reviewed by separate departments, SM Line witnesses testified that its Chandler, Arizona office ("U.S. Office") has virtually no authority to resolve disputes, placing all policy making and all final authority with distant Korea headquarters ("Korea HQ") personnel. However, decisions on disputes are not based on any specific criteria. Instead, when evaluating a dispute, SM Line would look at its contractual relationship with the customer, including the customer's collection-related performance. Nor is there evidence that SM Line's dispute resolution policy is even remotely based on FMC considerations, or the Incentive Principle as reflected in the FMC's Interpretative Rule on Demurrage and Detention Under the Shipping Act;
- **Failure to Comply with OSRA**: SM Line failed to include minimum information required for invoices between June 17 - December 31, 2022, and those examples shown *infra*.

Indeed, SM Line itself agrees with SEA's assessment of its conduct. Just a mere week after SEA filed its Complaint, SM Line created a then-privileged report revealing SM Line's own allocation of responsibilities for D&D charges in dispute ("SM Line D&D Responsibility Report").

This report is incomplete and analyzed only **half** of the D&D charges at issue, leaving out a vast majority of those D&D paid to third parties in connection with SEA cargo. The SM Line D&D Responsibility Report analyzed a subset of the charges at issue, totaling \$6.5 million out of the \$14.5 million (about 45%) of direct damages at issue in this lawsuit, and assessed whether the charges were caused by SEA's conduct. The SM Line D&D Responsibility Report reveals that for nearly **90%** of D&D charges analyzed in the SM Line D&D Responsibility Report, SM Line does not have substantial evidence – *and in most cases no evidence at all* – showing the underlying cause of the charges or showing a reasonable basis for charging SEA. SM Line's internal analysis came up with just \$7,715 – *less than 1% of the cargo moves SM Line did analyze in the Report* – that **SM Line attributed** to SEA's responsibility. If SM Line had analyzed the entirety of charges against SEA, and not just \$6.5 million, there is every reason to believe that SM Line's analysis attributing less than 1% of responsibility to SEA could be extended to the entirety of charges paid. SM Line stopped its analysis for good reason; the data was already damning against it for issuing these D&D charges irresponsibly.

To the extent the Presiding Officer considers SM Line's affirmative defenses for the sake of a complete record for the Commission on appeal, SM Line's reliance on novel and strained attempts at justifications, such as outlandishly arguing that SEA agreed to SM Line's misconduct, is unavailing. To excuse its total abdication of responsibilities for inland transportation D&D charges, SM Line primarily contends that SEA's mere recommendation of a customer-nominated (or, preferred) trucker ("CNT") irrevocably converted SEA store door shipments into container yard ("CY") moves. SM Line bases this theory on pieces of unilateral language in a 2017 SM Line form referencing CNTs. But as explained below, those arguments not only fail to justify SM Line's conduct, but they further establish SM Line's unreasonable practices. SM Line's theory that a

common carrier can unilaterally disclaim its common carrier responsibility would upend the entire shipping industry's understanding of store door inland transportation services.

By pushing all D&D charges onto SEA by default, to the extent SM Line had a contractual (or other) basis to properly claim that SEA was responsible for a D&D charge, it should have addressed that at the time before, or at least at the time of, the charge. Having not done so in the first instance, and lacking any meaningful dispute resolution process, SM Line should not now be permitted to claim that SEA approved or consented to SM Line's D&D practices unless SEA provides affirmative evidence that it was not responsible for specific D&D charges.

On the matter of the scope of reparations, with over 18,000 charges and \$17.1 million in compensatory and consequential damages, not including applicable interest and reasonable attorneys' fees to be determined at a later date, the Presiding Officer would naturally carefully assess the work of damages experts. In Section V, SEA summarizes the D&D damages suffered and additional damages proximately caused by SM Line not meeting its responsibilities on store door moves. The work is fact intensive and aided by SEA's expert report on damages, confirming SEA's data showing payment of over 18,000 charges and why SM Line's incomplete data is not reliable. This brief addresses why SM Line's slapdash rebuttal report, for an expert retained a few weeks before his report was due, is also unreliable and should be provided no evidentiary weight. On the basis of this evidence, the Presiding Officer should hold SM Line accountable for its serial, intentional violations of the Shipping Act and OSRA, and order reparations in the amount sought.

III. PROPOSED FINDINGS OF FACTS

The PFF, filed contemporaneously herewith, are incorporated in full by reference. The PFF, developed from extensive discovery in this matter – including SM Line's internal documents, and deposition testimony – support each and every cause of action in SEA's Complaint.

IV. ARGUMENT

A. SM Line Agreed to Move SEA Shipments Under Store Door Terms with “Super All In” Rates and was Responsible for all Inland D&D Charges

For the shipments at issue, SEA cargo was shipped by its foreign affiliates (or other overseas SEA-related entities), which contracted with and paid the ocean freights to SM Line for the transportation services provided; SEA did not contract with SM Line. PFF ¶ 19. The SEA shipments were moved under “super all in” rates. PFF ¶¶ 30, 57. Super all-in rates included among other things, motor carrier charges, terminal handling charges, and local charges. *See, e.g.*, PFF ¶¶ 30, 57. SM Line was also responsible for providing chassis for the inland movement of cargo. PFF ¶ 72. SEA was only the consignee of the shipments. PFF ¶ 5. The ocean freight associated with the SEA shipments was not paid by SEA and is not in dispute in this FMC proceeding. PFF ¶ 20. Nor is there any dispute that SEA did not negotiate or have access to the shipping contracts, although it was generally aware of certain relevant terms of service.

B. SM Line Held Itself Out as Eminently Capable of Providing Store Door Moves

SM Line marketed its ability to provide store door transportation to shippers and consignees. PFF ¶¶ 2-4. Indeed, SM Line proclaims that “SM Line focuses on establishing a comprehensive logistics transportation network worldwide to create value-added logistics services.”² SM Line further advertises to the shipping public:

Each shipment is tracked and monitored by our branch office in Phoenix, Arizona. Also, transportation to inland is based on usage of modernized rail terminals run by top-class rail companies. Particularly, UP-Global IV, the most advanced rail terminal handles cargoes with first-rate service by integrating rail and truck transportation, distribution and warehousing in one place.

² https://www.smlines.com/en/inland_01.php. (last accessed April 12, 2024).

PFF ¶ 4. SM Line goes as far to hold itself out as a “Shipping Maestro” in marketing materials.³ And its website home page is emblazoned in large font with “Shipping Maestro,” setting the expectation that SM Line has the knowledge, capability, and resources to meet its customers’ expectations in what SM Line is claiming will be an above average experience. *Id.* SM Line’s website also provides a shipping glossary including definitions of the terms “Store-Door Delivery” and “Store-Door Pick-up.”⁴ Based on SM Line’s public-facing website addressing its services, it is evident that [SM Line] holds itself out to provide all the services typically provided by a container carrier under door-to-door terms.” Appendix, CX_004342. In undertaking to provide door-to-door service, SM Line “was extending its delivery commitment beyond the ocean voyage segment, and with that, its responsibility.” PFF ¶ 42.

C. SEA Relied Upon SM Line to Provide Competent Store Door Delivery Service

The vast majority of SEA shipments moved under store door terms, also known as carrier haulage. PFF ¶ 21. Under store door terms, cargo moves under a through bill of lading whereby the ocean carrier bears the responsibility as the common carrier for *both* the ocean and inland transportation of the cargo, the costs for both of which are included in store door, “super all-in” ocean freight rates. PFF ¶¶ 22, 30. Inland transportation costs, including D&D charges, are the ocean carrier’s responsibility, except in limited circumstances where a delay in the shipment was actually caused by the consignee (*e.g.*, SEA cannot receive a container otherwise ready for delivery). PFF ¶ 23. Otherwise, D&D charges should be absorbed by the ocean carrier. PFF ¶ 30.

SEA historically and critically relied on ocean carriers moving its shipments under store door terms as SEA did not have infrastructure to manage inland transportation of containers after

³ <https://www.smlines.com/en/> (last accessed April 14, 2024).

⁴ SM Line Shipping Glossary, https://www.smlines.com/en/dic.php?board_config_id=6&STXT=store. (last accessed April 12, 2024).

they were discharged at marine or rail terminals. PFF ¶¶ 32, 33. Among other things, SEA did not have a dispatch operation to schedule trucking appointments. PFF ¶ 34. Nor did SEA have agreements with truckers for inland transportation. PFF ¶ 35. As a result, SEA was entirely reliant on ocean carriers providing inland transportation to final destinations under store door moves, including arranging and paying for any D&D charges arising therefrom, PFF ¶¶ 30, 32, 57. This business arrangement is entirely customary for companies that do not have such inland transportation handling capacity, which explains the need for a self-proclaimed “Shipping Maestro” like SM Line. PFF ¶ 294. SM Line’s store door obligation is reflected on through bills of lading, issued by itself, showing the responsibility to deliver goods to the inland destination locations. PFF ¶¶ 6, 22.

D. Since the Pandemic and During the Relevant Time Period, SM Line Began Imposing Exorbitant D&D Charges on SEA

Before the pandemic, SM Line moved SEA cargo consistent with store door terms and paid for associated D&D charges. PFF ¶¶ 141, 294. While SEA would occasionally receive invoices for D&D charges those occurrences were rare. PFF ¶¶ 141, 280.

Beginning in 2020, SM Line began to assess unexplained and often very large D&D charges against SEA for store door moves without regard to the underlying cause or responsibility. PFF ¶¶ 295, 351, 353-54. The exorbitant amount of D&D SM Line collected helped SM Line to grow its revenue dramatically during the Relevant Time Period. PFF ¶¶ 282-87. The record evidence shows that SEA was wrongfully forced to pay \$14.6 million of D&D charges, which were caused by circumstances outside of SEA’s control and, therefore, remained SM Line’s obligations. Further, SM Line did not have any procedures or policies in place to determine the validity of such charges, nor did it have any meaningful dispute resolution process in place. PFF ¶¶ 124-25, 236, 241, 245. With the mounting pressure during the pandemic to deliver much-needed

electronic goods to the American consumers, SEA paid these exorbitant amounts under duress to obtain the release of its cargo. PFF ¶¶ 258-61.

The factual context of SEA's claims are the charges paid by SEA on SM Line container moves during the pandemic. PFF ¶¶ 92-94. On March 11, 2020, the World Health Organization declared that COVID-19 was officially characterized as a pandemic. PFF ¶ 92. Because people were spending more time at home, there was a surge in demand for household appliances and other durable goods (*e.g.*, refrigerators, cooking appliances, and washing machines). PFF ¶ 93. This increased demand resulted in manufacturers and retailers ramping up efforts to meet consumer demand. PFF ¶ 94. For example, some retailers reported a two-month backlog on appliances. PFF ¶ 95. SEA was clearly motivated and incentivized to move its goods quickly from ports to inland destinations like warehouses and retailers, relying on SM Line to be able to do so. PFF ¶¶ 94-95.

Because of this increased demand, ports were at full capacity.⁵ PFF ¶ 352. In many instances vessels had to anchor offshore for prolonged periods before they could berth and offload their cargo. *See* Supply Chain Issues. And terminals needed to set up overflow locations for containers. *Id.* Due to a combination of COVID-19's effect on workforce participation and port conditions, truckers did not have enough drivers to handle the increased movement of cargo. PFF ¶¶ 101, 352. Because of these driver shortages, trucking companies began rejecting work orders due to a lack of capacity. PFF ¶ 101. This combination of trucker shortages, port and terminal congestion, inclement weather and chassis shortages had a profound impact on the container industry. And U.S. ports experienced increased dwell times, bottlenecks, and continued chassis

⁵ <https://www.washingtonpost.com/business/interactive/2021/supplychain-issues/> (published Sept. 30, 2021) ("Supply Chain Issues").

shortages well into 2022. PFF ¶¶ 92-94, 142; *see also* Supply Chain Issues . SM Line employee testimony acknowledges this impact:

Q. So peak seasons. When are the peak seasons?

A. Usually in the fall and spring and, of course, during COVID.

Q. How long, in terms of peak season, in COVID? Was that also fall and spring, or was that a little different compared to normal time? Or pre-COVID. Sorry.

A. **I felt that COVID was a constant peak**, if that makes sense.

Appendix, CX_001114.

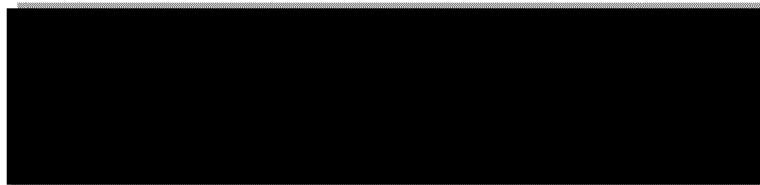
SM Line used the pandemic-related transportation challenges as an opportunity to enhance its bottom line through D&D. PFF ¶¶ 282-87. SM Line exploited unfortunate developments such as trucker shortages, port congestion and terminal restrictions as an opportunity to reap windfall profits. As detailed below, during the pandemic, SM Line's D&D policies and procedures were geared towards, as they always have been, maximizing its revenues. Hence, SM Line did not make any changes to handle ongoing supply chain issues for its customers. PFF ¶¶ 209, 236, 279. Because SM Line failed to address supply chain disruptions, shifted its D&D practices related to store door moves, and engaged in D&D collections practices to maximize revenue, SM Line contributed to the delays in the cargo movement. Moreover, these windfall D&D charges had no positive effect on promoting cargo fluidity. Cargo movement was not SEA's responsibility and SEA had ample incentive to get its appliances into the hands of U.S. retailers and consumers.

E. SM Line's Korea HQ-Driven Culture of D&D as a Means to Make Incidental Income and Extract Maximum Revenue and Profit

The Presiding Officer has received full briefing and oral argument concerning the SM Line D&D Responsibility Report. SM Line fought to put the genie back in its bottle because its counsel belatedly realized the impact of such admissions. **Shipping Act violations are established against SM Line**. Instead of focusing on the full impact of this admission, SEA must first bring to the Presiding Officer's attention the results of the other, startling admission in this dispute. SEA's

Summary of Argument references “tone-deaf admissions of its attempts to maximize D&D collection to maintain record-breaking profits.” *Supra* p. 1. These admissions concern a top SM Line executive at Korea HQ who described its D&D collection ambitions as “provocative” but not “pornographic.” PFF ¶¶ 196, 198. In weighing SEA’s evidence establishing liability and its entitlement to damages in Sections IV and V, respectively, there is an overarching cultural issue affecting all aspects of SM Line’s business as a company, of which the Presiding Officer should take heed.

In SEA’s motion to continue SM Line’s corporate deposition, (Dkt. No. 57), SEA submitted evidence of SM Line’s Korea HQ preparing a [REDACTED] [REDACTED] PFF ¶ 200. After nearly three years of pounding American shippers and consignees of goods with unrelenting D&D charges, SM Line internally was boastful of its goals for continued financial success driven by D&D charges. PFF ¶ 196-207. This [REDACTED] explained that SM Line’s current D&D policy was to [REDACTED] [REDACTED] for D&D were to [REDACTED] PFF ¶ 206. SM Line’s actual internal objectives are markedly different from its publicly-stated D&D purpose that is communicated externally—which SM Line clearly understood and explained in the report in graphic detail



This above graphic is quoted verbatim from the D&D Improvement Plan. PFF ¶ 204-06.

When the Presiding Officer allowed limited, further depositions of senior executives in SM Line’s Korea HQ, one of those deponents was the author of this admission. PFF ¶ 207. He was not

remorseful for the admission of writing down and admitting what we all now know: ocean carriers used the pandemic to foist D&D charges in the billions of dollars⁶ on consignees in epic proportions to boost their bottom lines. SM Line was no different. They are just one of the first carriers which will face accountability before the FMC for its actions. So what did the author of these admissions against interest graphic have to say to defend the indefensible?

Provocative. But Not Pornographic.

He explained:

And I do acknowledge that some of the things that I said in this report was not appropriate, and I made some errors in that regard. However, please do not blow it out of proportion in terms of the entirety of this report. Because, if I took an example of the *Love of Madam Chatterley*, you know, this is actually there could be some very, you know, obvious, and **provocative love** that has been described in the novel, but, you know, people will **not** consider it as **pornographic**. This is still considered as, you know, very excellent literature, and an excellent novel. So just because I wanted to show off my efforts to my superiors, please do not place too much importance to that effect more than it deserves. If you can look at the report. As the title suggests, you have to pay attention -- pay more attention to what is actually being discussed in the report.

Appendix, CX_000696-97. (emphasis added).

It was entirely **unexpected** that the words “provocative” and “pornographic” would ever enter an initial brief before the FMC for a D&D dispute. Citing *Lady Chatterley’s Lover*, the novel published nearly 100 years ago by D. H. Lawrence, these are the two words uttered by Sung-Hyun (“S.H.”) Kim (Team Leader for the Network Operations Team, also known as SELCON or CON, which has sole control over D&D policies), to defend the language used to describe SM Line’s enhanced revenue-generating ambitions. PFF ¶¶ 187, 188, 207. In describing **his** D&D Improvement Plan (dated October 26, 2022 **after** the enactment of OSRA), Mr. S.H. Kim’s

⁶ “In dollar terms, the nine carriers have collected roughly \$13.8 billion in detention and demurrage charges between April 2020 and September 2023.” <https://www.fmc.gov/detention-and-demurrage/> (last accessed April 12, 2024).

admission that “some of the things that [he] said in this [D&D Improvement Plan] report w[ere] not appropriate” is not an understatement, but emblematic of a larger theme. Appendix, CX_000696; PFF ¶ 200. This avarice plagued every aspect of SM Line’s operations, including its D&D billing and collection practices, which were promulgated by top Korea HQ executives and then trickled down to its U.S. Office. PFF ¶¶ 201-04.

The D&D Improvement Plan, prepared in 2022, at the request of the then-head of the Sales and Operations (Mr. Yoon-Jae Mark Lee), was SM Line’s latest and best consideration of OSRA and its impact to the existing [REDACTED] [REDACTED]. PFF ¶¶ 196-97, 201. Almost eighteen months into the global pandemic – and just a few months after OSRA was enacted – SM Line Korea HQ’s SELCON team began internally discussing how to “manage” mounting shipper complaints over D&D, soaring D&D collection costs, and other related issues in the U.S. in light of the Incentive Principle and the mandates under OSRA. PFF ¶¶ 196-98, 200-06. These discussions led to the D&D Improvement Plan. PFF ¶ *Id.* This candid declaration of SM Line’s interest in D&D generation at all costs to maximize revenues should not be countenanced.⁷

F. SEA’s Burden of Proof

Causes of action alleging violations of 46 U.S.C. § 41102(c) of the Shipping Act (unreasonable practices) place the burden of persuading the FMC that a practice is unreasonable on the complainant, which they must prove by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, FMC Dkt. No. 21-11, 2023 WL 3969857,

⁷ SEA addresses the full scope of these admissions, and impact on establishing liability, in Section IV. J. 4. c). (3) *infra*.

at *20 (ALJ June 7, 2023) (addressing burden of proof in case where the Presiding Officer issued a fine of almost \$10 million to Hamburg Sud for the Shipping Act violations); *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Dkt. No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Inv., LLC v. Marine Transp. Logistics*, FMC Dkt. No. 15-04, 2021 WL 3732849, at *3 (FMC Aug. 18, 2021).

The party with the burden of persuasion must prove its case by a “preponderance of the evidence.... It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation.” *Waterman S.S. Corp. v. Gen. Foundries Inc.*, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993).

SM Line is on notice of this limited burden with regard to liability and the showing of damages sufficient to recover reparations, as noted in the FMC’s Final Order on Remand in the *Adenariwo v. Bdp International* matter, where the claimant was awarded reparations plus interest:

In particular, Claimant “must prove with ‘competent evidence’ that [he] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990)). Although the Commission will rely on reasonable estimations “when precise evidence measuring financial injury is unavailable because of the nature of the violation,” “alleged damages based on unreliable or speculative evidence are not allowed.” *Rose Int’l, Inc.*, 29 S.R.R. at 197 (quoting *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25 (ALJ 1991)) (internal quotation marks omitted).

See Final Order, Informal Docket No. 1921(I), 2013 WL 12618258, at *7 (FMC Feb. 14, 2017).

While SEA’s damages will be addressed further in Section V, the sheer scope of damages is substantial and supported by SEA and SM Line documents, as assessed by SEA’s damages expert.

Further, given SM Line’s systematic destruction of critically relevant emails to and from key knowledgeable D&D decision-makers at SM Line’s Korea HQ (“Key Custodians”), SM Line should be barred from arguing that SEA must affirmatively show evidence of specific performance failures that were a cause of, or contributed to, the underlying challenged charges unless SM Line has proffered affirmative evidence in its defense. Dkt. Nos. 78, 79 & 80.

G. The Incentive Principle and SM Line’s Conduct

Supply chain ensnarement in 2020-2022 during the pandemic was not unprecedented: congestion and concerns with D&D existed long beforehand.⁸ The purpose of D&D is to incentivize parties responsible for moving cargo to retrieve their cargo and to promote freight fluidity – the concept that would later be known as the “Incentive Principle.” The FMC has been investigating D&D practices since the beginning of the last decade, including Fact Finding Investigation No. 28 (“FF28”), led by Commissioner Dye.⁹

The FMC authorized FF28 to address concerns among the shipping community over D&D problems.¹⁰ The FMC collected data on D&D practices of various carriers and terminals around the country.¹¹ The FMC also conducted interviews with importers, exporters, ocean transportation intermediaries, drayage trucking representatives, and other members of the shipping community.¹²

Based on the findings in FF28, on September 17, 2019, the Commission published proposed guidance, in the form of an interpretive rule, outlining factors it may consider when assessing the reasonableness of D&D practices under 46 U.S.C. § 41102(c) and 46 C.F.R. §

⁸ Fact Finding Investigation No. 28 Final Report (“FF 28 Final Report”), at 1, <https://www2.fmc.gov/readingroom/docs/FF%20No.%2028/FF28?FR.pdf/>.

⁹ Fact Finding Investigation No. 28 Order of Investigation (Mar. 5, 2018), <https://www2.fmc.gov/readingroom/docs/FF%20No.%2028/ff28?ord2.pdf/>.

¹⁰ FF 28 Final Report at 4-5.

¹¹ FF28 Final Report at 1.

¹² *Id.*

545.4(d). The Commission’s Interpretive Rule, which formalized the “Incentive Principle,” made clear to shippers/consignees and carriers alike the standards and factors that the FMC considers when analyzing the reasonableness of D&D procedures under 46 U.S.C. § 41102(c). Importantly, the Interpretive Rule explained how the Commission viewed *existing* precedent and principles of reasonableness as applied to D&D. It explained that it will primarily consider the Incentive Principle when analyzing reasonableness, and that it may consider “other factors” including accessibility of D&D policies and the clarity of terminology. *See Final Rule: Interpretive Rule on D&D Under the Shipping Act*, 85 Fed. Reg. 29638, 29652 (May 18, 2020) (“Interpretive Rule”). In the Incentive Principle rulemaking discussion, the Commission also highlighted questionable store door practices, stating that the Commission would keep a close watch for unreasonable store door practices in specific cases. *Id.* at 29665. This is such a case, and it is egregious.

H. FMC Precedent Applying the Incentive Principle and SM Line Implications

The FMC’s Office of Administrative Law Judges (“ALJs”) has applied the Incentive Principle and the Interpretive Rule in a number of cases. For example, in *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of § 46 U.S.C. 41102*, Chief Judge Wirth confirmed that D&D serves the purpose of a financial incentive to promote freight fluidity.¹³ ALJ Wirth evaluated the reasonableness of Hapag-Lloyd’s D&D policy regarding the return of eleven containers, the return policies, and the waiver policies. After reviewing the evidence, ALJ Wirth confirmed that there were no return appointments available during the days on which a trucking company attempted to return the containers within free time. ALJ Wirth reasoned that, therefore, the Incentive Principle was not upheld by the D&D charges during that period, because “no amount of detention could have incentivized the return of the containers.” *Id.* at *30; *TCW, Inc. v.*

¹³ FMC Dkt. No. 21-09, 2022 WL 1239377 (ALJ April 22, 2022).

Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement, FMC Dkt. No. 1966(I), 2022 WL 18068977, at *5 (FMC Dec. 29, 2022) (citing to the Interpretive Rule for the proposition that the shipping community “should not be penalized by [D&D] practices when circumstances are such that they cannot retrieve equipment from or return equipment to marine terminals ‘because under those circumstances the charges cannot serve their incentive function.’”). These rulings are consistent with the Commission’s rejection of the argument that “once-in-demurrage, always-in-demurrage” acts as an incentive for consignees and truckers to retrieve cargo and return equipment during free time.¹⁴

These recent authorities, confronting and correcting the unreasonable practices of ocean carriers against shippers and consignees during the pandemic, stand for a clear proposition that the ultimate goal of D&D must be to operate as a financial incentive to promote freight fluidity. Even if a practice has a valid purpose, if it goes beyond what is necessary to achieve freight fluidity, it will be unreasonable. Thus, when reviewing D&D charges, the question is not whether the charges are lawful, contractually warranted, or in accord with a tariff, but *whether the charge is reasonable, and fit and appropriate to the goal of freight fluidity*. If, as illustrated above, D&D charges do not incentivize the movement of cargo, they are unreasonable under the Shipping Act.

I. SM Line’s Intentional, Serial Breaches of the Shipping Act and OSRA Support Reparations Against SM Line

¹⁴ As noted by Chairman Daniel B. Maffei in a meeting with stakeholders at the Port of New York and New Jersey “[i]f it can be shown that a shipper or a trucker is not allowed to return a container then – not only should they not be charged per diem but – the carrier should compensate that trucker for the space it takes up. This is completely in line with the incentive principle set forth by the Commission in its rules in that it would promote the movement of cargo since chassis and space would be freed up by carriers taking full responsibility for the empty containers resulting from the increased volumes of import cargo they bring in.” As the Commission also correctly observed, “shippers and truckers have commercial reasons for wanting to get containers off-terminal or returned in a timely fashion.” *Interpretive Rule*, 85 Fed. Reg. 29653.

SEA's Complaint asserts Shipping Act violations in three causes of action: (1) SM Line's failure to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing, and delivering the property of SEA, in violation of 46 U.S.C. § 41102(c) (unreasonable practices); (2) 46 U.S.C. § 41104(a)(15) (invoicing without required information); and (3) 46 U.S.C. § 41104(a)(14) (unreasonable charges). PFF ¶ 1. These violations are more egregious when considered under OSRA, whose changes the Commission described as follows:

OSRA addressed the balance between common carriers and the shipping public in dealing with complaints about [D&D] charges. OSRA § 10, 46 U.S.C. § 41310. Specifically, pursuant to OSRA, common carriers "bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to [the D&D Interpretive Rule] or successor regulations." OSRA § 10, 46 U.S.C. § 41310(b)(2). This provision shifts the burden of proof regarding the reasonableness of detention or demurrage charges from the invoiced party to the common carrier. Second, OSRA requires common carriers to provide certain information on invoices for [D&D] charges to demonstrate that the charges comply with the D&D [I]nterpretive [R]ule. OSRA § 7, 46 U.S.C. § 41104(a)(15) and (d)(2). Specifically, common carriers must include a statement that the charges are consistent with the Commission's [D&D] rules. 46 U.S.C. § 41104(d)(2)(L). This provision requires common carriers to ensure invoiced demurrage or detention charges are consistent with the Commission's rules, especially the [D&D Interpretive Rule].

Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. - Possible Violations of 46 U.S.C. § 41102(c), FMC Dkt. No. 21-16, 2022 WL 17830693, at *4-5 (FMC Dec. 15, 2022) (footnotes omitted). SM Line's failures to comply with any of the mandates under OSRA collectively and independently caused the mounting D&D charges at issue in this proceeding – over \$14.5 million in direct damages of SEA having to pay for D&D charges and additional \$2.6 million in capital investments SEA had to make and the lost revenues.

J. SM Line Failed to Establish, Observe, and Enforce Just and Reasonable Regulations and Practices in Receiving, Handling, Storing, or Delivering Property in Violation of Section 41102(c) of the Shipping Act

Section 41102(c) provides that a common carrier "may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving,

handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission has interpreted Section 41102(c) as requiring the following elements:

- (i) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (ii) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (iii) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (iv) The practice or regulation is unjust or unreasonable; and
- (v) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS East Coast*, FMC Dkt. No. 23-04, at *9-10, (FMC Aug. 16, 2023). As shown below, SEA easily meets each of the required elements.

1. FMC has Jurisdiction Over SM Line

The FMC has jurisdiction over SM Line as a “common carrier” and a vessel operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18), which SM Line admits. Dkt. No. 11, SM Line Ans., ¶ 2. An ocean common carrier is defined as a “vessel operating common carrier” or “VOCC” “that holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; and assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and uses, for all or part of that transportation, a vessel operating on the high seas....” 46 U.S.C. § 40102(7), (18); Dkt. No. 1 (Compl.), ¶¶ 2, 5.

SM Line conducts its business operations in the U.S. through SM Line Corporation and holds itself out to the general public to provide transportation by water of cargo between various points in the United States and various points in a foreign country for compensation, through the utilization of vessels for all or part of the transportation. PFF ¶¶ 2-4. For the cargo at issue, SM Line provided both ocean and inland transportation services. PFF ¶¶ 5-6.

SM Line admits the allegation in paragraph 5 of the Complaint that the Commission has jurisdiction over SM Line as a “common carrier” and a vessel operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18). Dkt. No. 11 (SM Line Ans.), ¶ 5.

The FMC also has jurisdiction over SEA’s claims against SM Line. The Shipping Act provides that a “person may file with the . . . Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt. No. 02-04, 2006 WL 2007808, at *8-9 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, FMC Dkt. No. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000). For the purposes of 46 U.S.C. §§ 41102(c), 41104(a)(3), 41102(d), 41104(a)(10), 41104(a)(15), and 41104(a)(14), the FMC also has jurisdiction over SM Line’s inland transportation (rail and truck) under through bills of lading. That jurisdiction begins when a common carrier assumes responsibility for transportation of the cargo and ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. 46 C.F.R. § 541.3; *see, e.g., Norfolk So. Ry. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading); *see also Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, FMC Dkt. No. 09-01, 2011 WL 7144008, at *20 (FMC Aug. 1, 2011) (“legislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation,

including the inland segment of such transportation”); *Dukart v. Ocean Star Int’l Inc., d/b/a Int’l Van Lines*, FMC Dkt. No. 20-03, 2020 WL 13512914, at *123–24 (ALJ July 10, 2020).

2. SM Line’s Acts or Omissions Occurred on a Normal, Customary, and Continuous Basis

For there to be a violation of Section 41102(c), the unreasonable practice or regulation “must be normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” 46 C.F.R. 545.4(b); *see also Final Rule, Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 64478 (Dec. 17, 2018) (discussing the Interpretive Rule provision promulgated at 46 C.F.R. 545.4(b)); *see also European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935).

Here, SM Line’s regulations and practices clearly satisfy Section 545.4(b)’s normal, customary, and continuous standard. The harm alleged does not relate to a single discrete incident but rather to a large number of shipments over extended periods of time. PFF ¶ 9. For the Relevant Time Period, SM Line assessed D&D charges and caused SEA to incur related charges totaling approximately \$14.6 million for SEA shipments moving under store door terms. PFF ¶¶ 9, 357, 360-63. Of the total, \$7.2 million were demurrage charges, \$2.4 million were rail storage charges, \$1.3 million were equipment detention and \$1 million were rehandling charges. PFF ¶¶ 153, 342, 345-47, 361-62. These charges all stem from SM Line’s failure to effectively manage (or conscious abandonment of its responsibility) the inland transportation of store door shipments on a consistent and continuous basis in furtherance of SM Line’s actual internal objective to [REDACTED]

[REDACTED] PFF ¶ 206.

The record demonstrates that SM Line’s policy via the [REDACTED]

[REDACTED] PFF ¶ 202. This revenue-generating strategy was a continuous and ongoing policy implemented by SM Line to [REDACTED]

[REDACTED] PFF ¶ 205. This is bolstered by the fact that in Q4 2019 there were only 167 charges totaling \$13,999. PFF ¶ 344. In 2020, this went up to 1,597 charges totaling \$149,787, followed by an escalation to 6,942 charges in 2021 totaling \$2,908,918, and finally in 2022, there were 9,480 charges totaling \$5,877,325. PFF ¶ 344. Thus, SM Line’s D&D-related efforts were demonstrably increased as a result of internal and external objectives on an ongoing and continuous period of years.

3. The Practice or Regulation Relates to or is Connected With Receiving, Handling, Storing, or Delivering Property

The Commission previously held that “[o]cean carrier D&D practices are subject to Section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland.”¹⁵ Here, the practice and regulations in dispute, *i.e.*, SM Line’s practices, policies, and procedures related to D&D and its assessment of charges against SEA are directly related to the movement of cargo in ocean shipping. The D&D charges at issue arise directly from SM Line’s handling of SEA cargo and providing transportation services.

4. SM Line’s Practices and Regulations are Unjust or Unreasonable

Extensive FMC and judicial precedent interpreting Section 41102(c) – derived from Section 17 of the 1916 Act and carried through in Section 10(d)(1) of the Shipping Act – require that a regulation or practice of an ocean carrier be reasonable. “Reasonable” may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable” or “fit and

¹⁵ See Interpretive Rule, 85 Fed. Reg. 29650.

appropriate to the end in view.” BLACK’S LAW DICTIONARY, 4th Ed. (1968); *Investigation of Free Time Practices-Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966). When determining reasonableness of a carrier practice the analysis does not turn on the lawfulness of the practice but instead on whether the practice is “tailored to meet its intended purpose,” *Distrib. Servs. Ltd. v. Trans-Pac. Freight Conference of Japan & its Member Lines*, FMC Dkt. No. 86-12, 1988 WL 340659, at *7 (FMC Jan. 6, 1988), and “fit and appropriate to the end in view.” *Investigation of Free Time Practices-Port of San Diego*, 9 F.M.C. at 547. The standard of reasonableness also considers “whether the charge levied is reasonably related to the services rendered.” *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 282 (1968). Even if a practice has a valid purpose, if it goes beyond what is necessary to achieve that purpose, it may still be unreasonable. *Distrib. Servs.*, 1988 WL 340659, at *7.

Specifically, as to D&D, the Commission interprets Section 41102(c) under the “Incentive Principle.” 46 C.F.R. § 545.5. The Incentive Principle provides that “[i]n assessing the reasonableness of D&D practices and regulations, the Commission will consider the extent to which D&D are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1). The Commission also interprets the Incentive Principle in a number of specific “particular applications,” including with respect to:

- (i) *Cargo availability*. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.
- (ii) *Empty container return*. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.
- (iii) *Notice of cargo availability*. In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for

retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.

46 C.F.R. § 545.5(c)(2)(i)-(iii). Further, the Commission interprets the Incentive Principle with respect to D&D policies, such as invoicing/billing and dispute resolution practices, as follows:

(d) D&D policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing D&D practices and regulations, including dispute resolution policies and practices and regulations regarding D&D billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

46 C.F.R. § 545.5(d).

The Incentive Principle reflects the Commission’s interpretations of long-standing unreasonable practices precedent under Section 41102(c), specifically applied to D&D matters. Interpretive Rule, 85 Fed. Reg. 29651 (*citing Distrib. Servs.*, 1988 WL 340659, at *7). However, the Interpretive Rule does not limit or restrict the scope or manner of all regulations and practices in connection with D&D that could be found to constitute unjust and unreasonable practices under Section 41102(c). 46 C.F.R. § 545.5(f) (“Nothing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule”).

SM Line’s D&D practices and charges at issue in the Complaint are unjust and unreasonable within the meaning of section 41102(c) under four (4) distinct legal bases:¹⁶

- (a) Charging D&D to a party not responsible for moving the cargo at issue violates the Incentive Principle, both under the general incentivizing principle at Section 545.5(c)(1), and specifically with respect to charging demurrage when cargo is not available for pickup pursuant to Section 545.5(c)(2)(i);
- (b) Requiring a consignee under a through bill of lading to first pay charges at interim terminals as a condition of the common carrier completing its inland transportation obligations is not reasonably related to the common carrier service being provided;

¹⁶ The bases differ mainly with respect to elements three and four and are addressed in separate sub-sections below.

- (c) SM Line's policies and practices related to D&D, specifically its internal policy objective of using D&D to maximize revenue, violated the Incentive Principle, were not fit and appropriate to the end in view, and in all events, were not sufficiently tailored to incentivize the movement of cargo; and
- (d) SM Line's lack of consistent billing practices exacerbated improper charges, and SM Line failed to maintain or enforce meaningful dispute resolution practices.

a) Charging SEA for Inland Transportation D&D Charges, when SM Line was Responsible to Move the Cargo, Violates the Incentive Principle

The D&D charged to and paid by SEA did not meet its incentivizing purpose because SM Line, not SEA, was responsible for removal of SEA cargo from the marine and inland terminals. No amount of D&D assessed against SEA would have assisted or promoted freight fluidity. During the Relevant Time Period, SEA had no capacity to arrange inland transportation on its own. PFF ¶¶ 32-35. An ocean common carrier's obligations and responsibilities for the movement of cargo are established in the bill of lading. The very nature of a through bill of lading is to move cargo (via ocean carriers, truckers, and/or rail carriers) from the place of loading overseas *to the final inland destination*. PFF ¶¶ 6, 22. Unlike cargo moving under "port" or "CY" terms where the consignee arranges for the inland transportation and to pick up the container at the marine terminal, the ocean carrier is responsible for the inland movement and to pick up the container at the marine (or inland rail) terminal. PFF ¶¶ 6, 22, 39-41. Here, that responsibility remained with SM Line. Charging SEA, a consignee of the cargo moving under a through bill of lading (*i.e.*, store door move) for inland D&D charges violates the general Incentive Principle, 46 C.F.R. § 545.5(c)(2), because the party being charged is not responsible for the inland movement or picking up the cargo. PFF ¶¶ 6, 22.

SM Line's practice also fails under the particular Incentive Principle rule on demurrage, 46 C.F.R. § 545.4(c)(2)(i) for an analogous reason. The cargo on which SEA was charged demurrage was not available *to SEA* to pick up. The cargo was available *to SM Line* to pick up.

In through bill of lading store door movements, no amount of demurrage assessed on SEA would render the cargo available for pickup by SEA. This general rule is amply illustrated by the exception. SEA only obtained the legal capacity to pick up its cargo during the inland leg of the transportation in the relatively few instances where a through bill of lading was converted from store door to CY. In those rare instances – referred to in the record as “terminating” or “splitting” a bill of lading into separate CY and inland bills of lading and sometimes mis-described as a “diversion” to permit SEA to arrange inland transportation itself – SEA undertook responsibility for inland transportation, and thus the technical ability to pick up its cargo from a terminal, but only after SM Line was no longer the common carrier under the through bill of lading. PFF ¶¶ 102-04.

b) SM Line Unreasonably Shifted its Common Carrier Inland Transportation Responsibilities—including Direct Cargo Release and Payment Responsibility for Inland Demurrage Charges—to SEA, a Consignee

SM Line’s practice of requiring SEA to pay charges directly at marine and inland terminals before SM Line would complete its inland transportation obligations was unjust and unreasonable because it was not reasonably related to, nor fit to the end in view: whether “the end in view” was SM Line’s performance of inland common carrier services or incentivizing cargo fluidity. SM Line does not have a legitimate basis for transferring a fundamental element of its common carrier obligations to the consignee. Under through bills of lading, it is the common carrier’s obligation to move the cargo inland, including arranging for release from terminals and transfer from the vessel to trains or trucks. But SM Line only sought to shift those obligations to SEA.

Moreover, having paid or accrued such charges, before assessing them on SEA, SM Line should have evaluated whether there was a legitimate basis to charge the consignee at all, or whether the charges should have been paid or waived (or in the case of SM Line’s own charges,

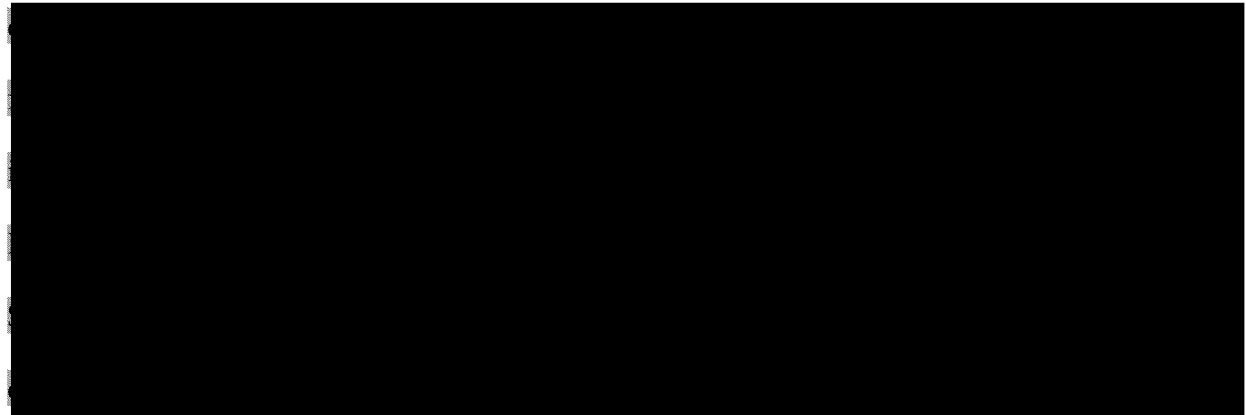
not charged at all). Testimony from SM Line employees uniformly confirms that SM Line could have, but chose not to, waive the D&D charges assessed and paid by SEA. PFF ¶¶ 234-35.

SM Line repeatedly collected D&D charges from SEA that should have been SM Line's responsibility. PFF ¶ 9. For example, SEA cargo identified cargo under store door terms under B/L No. SEL1G1584603 arrived at the Port of Seattle in June 2021. PFF ¶ 271. SM Line issued an arrival notice for the cargo with a notation that the cargo was a "DOOR" move, and on June 21, 2021, SM Line issued a "Transportation Work Order" ("Work Order") to the trucker Spirit Transportation System ("Spirit"). PFF ¶ 272. The Work Order directed the trucker to pick up the container from the port and deliver the cargo to its final destination. *Id.* The Work Order identified the "PIC" or person in charge of the transportation as SM Line's Christopher Solarez, and that the trucker should contact Mr. Solarez for any issues with performing the transportation. *Id.* On June 25, 2021, Spirit emailed SM Line that it ran into issues picking up cargo (including Container No. CAIU4347330) from the port due to stacked containers and chassis shortages. PFF ¶ 273. Despite SM Line's repeated admissions in the record that it was SM Line's responsibility to provide chassis and ensure containers were available for pick up, and SEA should not have been charged for resulting D&D, SM Line responded that it would not be responsible for port storage charges and directed Spirit to "work with SEA" to clear the storage charges; that is, SM Line did not accept responsibility for the charges and required SEA to pay the charges at the terminal before SM Line would release the cargo to Spirit to complete the inland transportation. *Id.*

To obtain the cargo's release, SEA was assessed and paid [REDACTED]

[REDACTED] PFF ¶ 275. SM Line could have also requested the terminal waive the demurrage charges. PFF ¶¶ 109-10, 79, 234-35. SM Line documents confirm that the charges

were incurred due to chassis shortages. PFF ¶¶ 275-76. Indeed, SEA was repeatedly assessed and paid demurrage charges to obtain the cargo's release of which should have been the responsibility of SM Line. PFF ¶ 9. [REDACTED]



SM Line documents confirm these charges were all incurred due to chassis shortages. PFF ¶ ____.

c) SM Line's Actual D&D Practice of Maximizing Revenue Violated the Incentive Principle, was not Fit and Appropriate to the End in View, and Otherwise was not Sufficiently Tailored to Incentivize the Movement of Cargo

(1) SM Line's Actual D&D Practices Were Unjust and Unreasonable

SM Line failed to establish reasonable D&D practices because its actual objective for D&D was *expressly* to maximize revenue, not incentivize movement of cargo. SM Line's D&D policy was established and managed under the sole control of SM Line Korea HQ's SELCON. PFF ¶¶ 187-88. [REDACTED] highlights how SM Line Korea HQ relentlessly sought its actual internal objective of using D&D to maximize SM Line's profits despite mounting shipper complaints over D&D, soaring D&D collection costs and other related issues in the U.S., and in contempt of the Incentive Principle and the mandates under OSRA. PFF ¶¶ 202-06.

[REDACTED] shows that SM Line: (i) was clearly aware of the relevant regulatory and statutory mandates concerning D&D, but despite that, (ii) due to high expected

costs involved with direct collection and independent D&D verification efforts, SM Line chose not to overhaul its long-time D&D management policy of using third parties, such as [REDACTED] and (iii) intentionally and deliberately maintained its actual internal policy to use D&D to [REDACTED] PFF ¶ 206 (emphasis added).

The D&D Improvement Plan makes clear that SM Line’s D&D practice was to [REDACTED] SM Line accomplished by *externally* justifying D&D to shippers as a means of recovering [REDACTED] but that SM Line’s [REDACTED] was not inducing return of equipment or incentivizing cargo fluidity, it was to use D&D as a means to maximize income. PFF ¶¶ 204-05. The D&D Improvement Plan, reprinted below, demonstrates in graphic detail that SM Line clearly understood that “incentivizing” equipment return was external massaging, *i.e.*, window dressing, “versus” its actual internal objectives to use D&D to maximize income.

Realizing that this plan is problematic, Mr. S.H. Kim (Team Leader of SELCON) tried to distance himself from the D&D Improvement Plan and claimed that (i) he had embellished and made errors in his revisions to the D&D Improvement Plan and that he did so to “show off [his] efforts to [his] superiors”, (ii) he acted entirely alone in drafting the D&D Improvement Plan, which was (iii) only reviewed by Mr. Mark Lee, who allegedly rebuked Mr. Kim and rejected the underlying analyses and recommendations in the D&D Improvement Plan. *Supra* p. 12. Mr. S.H. Kim’s self-serving attempts to disown his own creation are belied by the record evidence.

Contrary to being a secretive endeavor between Messrs. S.H. Kim and Mark Lee alone, Mr. K.K. Choi (the top-ranking Managing Director of SM Line’s U.S. Office) testified that he had seen the Korean-version of the document. PFF ¶ 208. Further, a month later in November 2022,

despite Mr. Mark Lee supposedly rejecting Mr. S.H. Kim's recommendations in the D&D Improvement Plan, they were nonetheless implemented when the SELCON Team updated SM Line's D&D Management Procedure dated November 18, 2022. PFF ¶ 209. In that update, some additional authority was extended to the U.S. regional office to resolve D&D disputes up to \$1,500 (previously capped at \$500). *Id.* As a further indication the Improvement Plan was not rejected, just two months later Mr. S.H. Kim was *promoted* to SELCON Team Leader. PFF ¶ 207.

SM Line's "actual internal objectives" in the D&D Improvement Plan were not new. PFF ¶ 210. Key SM Line personnel were aware of the FMC's Interpretive Rule and the Incentive Principle. PFF ¶ 278. SM Line adopted its initial D&D Management Procedure in 2017. PFF ¶ 167. While SM Line's D&D Management Procedure was updated five (5) times between 2017 to 2022, none of the updates were in response to the Interpretive Rule. PFF ¶ 172. Indeed, the only substantive change in its D&D Management Procedure after the 2020 Interpretive Rule was removing *any* U.S. local authority by U.S. SM Line employees to discount even low value D&D charges. PFF ¶¶ 175-76. After OSRA, SM Line doubled down on the same practices, affirmatively deciding to not change its practices to incorporate the Incentive Principle or any substantive policy changes after OSRA. Instead, SM Line Korea HQ passed downstream to its U.S. Office the November 18, 2022 update of its D&D Management Procedure that enshrined its practice of indiscriminately issuing and collecting D&D charges from consignees like SEA [REDACTED]

[REDACTED] PFF ¶ 202.

Other SM Line policies and procedures further corroborate SM Line's actual objectives reflected in the D&D Improvement Plan. [REDACTED]

[REDACTED] directed the collection of charges [REDACTED] i.e., regardless of their validity or whether a particular charge was disputed.

PFF ¶¶ 210, 223. Under the AR Procedure, SM Line's U.S. Office was required to operate an

[REDACTED] *Id.*

Line's form invoices includes language that states, "[b]ased on the information available to SM Line as of the date of this invoice: SM Line's performance did not cause or contribute to the underlying invoiced charges." PFF ¶ 211. However, testimony from SM Line employees establishes that SM Line does not have any procedures, practices, and/or policies in place to determine whether D&D charges were valid. Appendix, CX_001158; CX_001582.

Q. Like, let's say there's a -- rather than a -- there's just individual issues. In order for charges to be reviewed, does the customer have to dispute them before they get reviewed, or is there a process for reviewing charges, or is it all just automated?

A. It's all automated and the stop clocks would factor into the system and calculate and deduct those days. **So the initial invoice goes out without – really without much review.**

Appendix, CX_001158.

Q. Do you ever review detention charges for validity, if a customer has not emailed you about that charge?

A. **We would need them to email us in order for us to review.**

Appendix, CX_001582.

Other SM Line systems and procedures confirm that SM Line automatically charged D&D to SEA without first evaluating SM Line's responsibility for the cause of the charges. SM Line relied on modules in its "ALPS" data system to process container information and charges, e.g.,

modules regarding terminals, D&D, and pricing. PFF ¶¶ 224-26. In the ALPS system, invoices for detention are generated and sent out automatically after empty containers are logged as returned. PFF ¶ 224. The detention charges are calculated *automatically* based on days over free time without evaluating causes, SM Line responsibility, or a *person* verifying the invoice's accuracy. PFF ¶¶ 224-26.

The evidence shows that SM Line charged D&D to SEA automatically, without first evaluating SM Line's responsibility, and pursued aggressive collection of invoiced charges regardless of claims. These invoicing and collection practices are consistent with SM Line's stated internal objective of using D&D to maximize revenue, not incentivize the movement of cargo.

(2) *SM Line's Once-Privileged Internal D&D Responsibility Report Shows That its Practices in Connection With the D&D Charges at Issue Were Unreasonable*

A mere week after SEA filed its Complaint, SM Line started work on an analysis attempting to identify the reasons and evidence supporting its decisions to charge SEA for D&D: the SM Line D&D Responsibility Report. PFF ¶ 262.

SM Line analyzed a subset of the D&D charges at issue in this lawsuit. PFF ¶¶ 263-64. The resulting D&D Responsibility Report identified \$6,585,950 of D&D charges collected in connection with SEA containers comprised of \$5,386,490 in demurrage and \$1,199,460 in detention. PFF ¶ 262. The charges listed in SM Line's D&D Responsibility Report do not include \$8,014,051 of SEA's claimed direct damages, largely comprised of payments made directly by SEA to third-parties, such as rail storage, portions of terminal demurrage charges paid directly to marine terminals, and other handling charges paid by SEA, which were SM Line's responsibility under a store door move and were included in the "super-all in" ocean freight rates. PFF ¶¶ 262, 264. The charges are discussed further in SEA's damages expert report and in Section V below. As to the charges SM Line sought to evaluate, SM Line personnel sought to identify internal email

“evidence” reportedly collected from truckers and from SM Line’s proprietary ALPS system to identify underlying causes of the charges. PFF ¶¶ 263-69.

The SM Line D&D Responsibility Report, produced in a spreadsheet, contains two tabs: the first a pivot table and the second the underlying source data used to create the pivot table. PFF ¶¶ 262-69. Under the tab labeled “Data(All)” four principal columns were used to track and report findings: (1) column BI, labeled “Evidence” reported whether SM Line identified any evidence for the charges with a “Y” or “N” (Y indicating that evidence was identified, N indicating no evidence was identified); (2) column BJ, labeled “Evidence Detail” described the type of evidence cited, such as “Email from trucker” and emails from SM Line’s ALPS system; (3) column BH, labeled “Remarks,” reported a short characterization of the conclusion reached from the evidence, such as “Chassis shortage/terminal congestion”; and (4) column BK, labeled “Category,” groups the concludes/remarks into responsibility categories, such as “Port Congestion,” “Chassis Shortage,” “Warehouse Issue,” and “Samsung Operation Issue.” *Id.* Mr. K.K. Choi confirmed that this information was based on emails that Ms. Yi reviewed. PFF ¶ 263. He also testified regarding this “evidence”, remarking “it just described what was indicated, just writing down what was indicated in the trucker emails. The port congestion, I think the trucker emails suggested that they couldn’t pick up the containers because the port’s congestion.” Appendix, CX_000322.

The SM Line D&D Responsibility Report is critically revealing in multiple respects:

- **First**, because SM Line does not include charges paid to third-parties, such as SM Line’s railroad subcontractors, the SM Line charge data understates its responsibility.
- **Second**, SM Line did not identify any evidence at all purporting to justify, by showing the causes or reasons, for its charges for 23% of the collected amounts (over \$1.5 million of the \$6.5 million evaluated).
- **Third**, for 29% of the collected amounts, SM Line identified evidence that it categorized as “Port Congestion” and “Chassis Shortage” (about \$2 million of the total). SM Line

admitted that it was responsible for charges caused by port congestion and chassis shortages.¹⁷ PFF ¶ 266.

- **Fourth**, SM Line identified evidence that it categorized as “Warehouse Issue” and “Samsung Operation Issue” for only a tiny fraction of the collected amounts reported—just 0.12%, a total of \$7,515. PFF ¶ 270.
- **Fifth**, for the vast majority of the remaining evaluated collections for which SM Line purports to have found evidence, the “evidence” points to SM Line’s responsibility: for 36% of the collected amounts, SM line cited to evidence cryptically categorized as “No Reply” and “No Explanation from Samsung” (\$2.34 million of the total). The associated remarks for almost all of these items repeats the phrase “TRK notified daily/ no reply” and in a handful of instances that “Samsung did not provide a reason....” PFF ¶¶ 267-68. Neither of these explanations show why SM Line did not move the cargo at issue within free time—reasons that SM Line should have known before deciding to charge SEA—but in any event SM Line should have done more than email its truckers or look to SEA for a reason why SM Line failed to move the cargo.¹⁸ PFF ¶ 268.

What the SM Line D&D Responsibility Report really shows is that for nearly 90% of D&D charges it actually addresses, SM Line does not have substantial evidence—and in most cases no evidence at all—showing the underlying cause of the charges or showing a reasonable basis for charging SEA. Further, testimony from Mr. K.K. Choi confirms that all the documentation related to the charges has been produced and no further documentation can be found establishing the validity of these charges. PFF ¶ 265, 268-69. In contrast, SM Line’s own internal analysis came up with just \$7,715 that it *allegedly attributed* to Samsung Operation and Warehouse issues. PFF ¶ 270. SM Line essentially admits almost \$2 million in its own categorization are causes for which it is responsible (port congestion and chassis shortages). PFF ¶ 270. And for the bulk of the remainder, SM Line either fails to cite any evidence at all or relies on general references and

¹⁷ Mr. K.K. Choi (SM Line’s U.S. Managing Director, and Vice President and Rule 143(b)(6) corporate witness), amongst other SM Line witnesses, confirmed that SM Line was responsible to provide chassis for inland moves, PFF ¶ 72, and that delays and charges resulting from chassis shortages and terminal congestion should have been SM Line’s responsibility, PFF ¶¶ 74, 110-11.

¹⁸ The remaining 12% of collected amounts evaluated, totaling about \$800,000, are a collection of similar cryptic remarks that do not indicate any reasonable basis for SM Line charging SEA. PFF ¶¶ 262, 264, 266.

remarks that fail to show that SEA was the cause of the underlying charges or that SM Line should have charged SEA. PFF ¶ 268.

Finally, none of the alleged evidence is cited with any useful specificity. It is not clear what if any of the referenced emails were produced. And in light of SM Line's destruction of emails during the Relevant Time Period it is not possible to test the veracity of SM Line's reliance on contemporaneous email evidence. Dkt. No. 78. SM Line's knowing failure to preserve e-mails from that time period means SEA and this tribunal have been denied what can only reasonably be assumed to be further evidence of SM Line's responsibility. *See, e.g., Black v. Costco Wholesale Corp.*, 542 F. Supp.3d 750, 753 (M.D. Tenn. 2021) ("Spoliation occurs when a party intentionally destroys evidence that is presumed to be unfavorable to the party responsible for the destruction.") (quotation omitted). In store door moves, SM Line should have had a reasonable basis to charge the consignee at the time, and if there were such reasons at the time it should be able to substantiate the reasons then, and now. Other than \$7,715 allegedly caused by SEA (allegations SEA cannot test because of the absence of underlying evidence), SM Line's D&D Responsibility Report shows that SM Line could not even *internally* show that SEA caused the underlying charges or that it was reasonable for SM Line to charge SEA. PFF ¶¶ 268-70.

In summary, while SM Line's own analysis fails to address a significant amount of SEA's D&D charges sought here, the proportion of those claims that SM Line has analyzed, SM Line's own personnel identified *well less than 1%* of those claims – \$7,715 – as allegedly owing by SEA, while *close to 90%* of those claims SM Line either attributed to causes that were its responsibility or provided no reasons whatsoever. *Id.* For the remaining charges SM Line did not evaluate, the evidence indicates that SM Line's analysis attributing less than 1% of responsibility to SEA could be extended to the entirety of charges paid.

(3) *SM Line has no Meaningful Dispute Resolution Process that was Accessible by SEA Because SM Line’s U.S. Office Lacked Authority, and all Relevant D&D Decisions were Made in SM Line’s Korea HQ*

SM Line does not have a cohesive or clear D&D dispute process. D&D disputes are reviewed by separate departments. PFF ¶¶ 236, 237-38, 247. In the U.S., detention disputes are reviewed by the Equipment Team and demurrage disputes are reviewed by the Import Customer Service Team. PFF ¶ 238. Disputes are evaluated by an employee, who would review a submitted dispute, gather facts, research the matter, and make a decision at their level as to whether to accept or reject the dispute. PFF ¶¶ 238-41. If a customer’s dispute of a D&D charge was accepted, it would be escalated to the head of the regional office, here, Mr. K.K. Choi, SM Line’s U.S. Managing Director, and Vice President, for charges above [REDACTED]. PFF ¶¶ 174, 177, 180, 244, 360. When a D&D dispute is rejected, an appeal of the decision is reviewed by the employee who originally evaluated the dispute (either in the Equipment Team or Import Customer Service Team). PFF ¶ 245. But if a customer continued to dispute a decision, it could eventually be escalated to the team manager, who would review it and escalate to Mr. K.K. Choi. PFF ¶¶ 245-46. But Mr. K.K. Choi had limited authority, and ultimately any D&D disputes over [REDACTED] would have to be escalated to SM Line’s Korea HQ. PFF ¶ 174.

SM Line’s internal policy concerning disputes was also not cohesive. Under SM Line’s D&D Management Procedure, a dispute is categorized as either a request for “Discount” or “Inactivation” of D&D. PFF ¶¶ 169-71. An “Inactivation” is a waiver of *all* D&D charges due to SM Line’s actions or inactions. PFF ¶ 169. All Inactivation requests were automatically escalated to SM Line’s Korea HQ. PFF ¶ 179. SM Line’s U.S. Office did not have any authority over Inactivation requests, *i.e.*, SM Line’s U.S. Office had no authority to inactivate D&D charges. *Id.* While SM Line’s D&D Management Procedure sets out the limited reasons a charge should be

Inactivated, which include force majeure, SM Line’s responsibility, equipment damage, and system errors, among others, the D&D Management Procedure does not provide guidance on how those charges would be reviewed, validated, or actually Inactivated. PFF ¶ 170. Nor has SM Line created any guidance on how to create an Inactivation request via the ALPS system. PFF ¶ 190.

A “Discount” request is a reduction in the amount of D&D charged after it has already been invoiced to the customer. PFF ¶ 171. A customer could submit a “Discount” request either for commercial reasons or if they were unable to pick-up container(s) within free time. PFF ¶ 193. But as confirmed by Mr. K.K. Choi, with respect to Discount Requests, evidence of issues would *only* be collected and reviewed when a customer proactively requested a Discount. PFF ¶¶ 125, 142.

But SM Line’s policies with Discounts was also woefully deficient. Before 2022, SM Line’s U.S. Office only had authority to approve Discount requests [REDACTED] per bill of lading. PFF ¶ 174. Any Discount request above [REDACTED] per bill of lading could only be approved by SM Line’s Korea CEO *Id.* For context, in paragraph 49 of SEA’s damages expert report, he analyzed SEA’s data of D&D charges and found that \$12.8 million of the total \$14.6 million in inland destination charges were greater than [REDACTED] PFF ¶ 360. In November 2022, SM Line increased its U.S. Office’s authority to [REDACTED] because it anticipated it would receive more D&D charge-related complaints from customers after OSRA’s passage. PFF ¶¶ 177-81. Discounts greater than [REDACTED] but less than [REDACTED] could only be approved at SM Line’s Korea HQ, and amounts greater than [REDACTED] could only be approved by the CEO. PFF ¶ 178. The U.S. Office had no authority to Inactivate (*i.e.*, entirely waive) charges, pre or post the November 2022 updates. PFF ¶ 172-81.

The criteria for evaluating Discount requests also was deficient. When evaluating a Discount request SM Line would look at its contractual relationship with the customer, including the customer's past collection-related performance. PFF ¶¶ 193-94. SM Line's Guidance lacked information on how specific criteria would be evaluated, but decisions on Discounts focused on commercial considerations, including the frequency and amount of prior Discount requests by a customer, the contribution margin is on their account, and payment history. *Id.*

In sum, consistent with the billing practices in the previous section, SM Line's practice was to bill SEA and pursue collection from SEA without first evaluating whether SEA or SM Line was responsible. PFF ¶¶ 124-25, 148 192. And when pushed to actually evaluate D&D disputes, legal and regulatory compliance, such as whether a charge complied with the Shipping Act and the Incentive Principle, is not identified as a factor in the Guidance at all. PFF ¶ 193.

(4) *SM Line Made no Changes to its Policy to Address Supply Chain Issues During the Pandemic*

During the Relevant Time Period, SM Line's D&D policies and procedures were geared towards, as they always have been, maximizing revenues. SM Line did not make any changes to handle ongoing pandemic-related supply chain issues for its customers. PFF ¶¶ 209, 236, 279. Because SM Line failed to address supply chain disruptions, shifted its practices related to store door moves, and engaged in collections practices to maximize revenue, SM Line contributed to the delays in the movement of cargo. For example, because of the increased demand for products, chassis shortage issues intensified, which resulted in significant delays in the movement of cargo. PFF ¶ 96. SEA repeatedly requested assistance from SM Line regarding chassis shortages, but the response was always the same: the situation was out of SM Line's control and therefore, they would not be responsible for the resulting charges, even though SM Line was responsible for providing chassis on a store door move. PFF ¶¶ 104, 115, 117, 138, 164.

September to October of 2021 emails highlight this issue. SM Line was in the process of approving a CNT for the movement of SEA cargo, which included approval of the CNT's motor carrier rates. PFF ¶ 53. Included in the CNT's rates was a daily chassis usage charge. PFF ¶ 160. SM Line explained that all SM Line door moves had to be on a pool chassis. PFF ¶¶ 156-58. The CNT responded that it had to use its own equipment "because of the terminal chassis shortage." *Id.* SM Line approved the CNT to move SEA's cargo but due to the chassis shortage, the CNT repeatedly asked SM Line to allow it to use its own equipment and that [REDACTED]

[REDACTED] *Id.* Ultimately, SM Line's response was to shift its responsibility to SEA and require SEA to cover the additional costs. PFF ¶¶ 364-67; [REDACTED]

(5) *SEA's Nomination of Trucking Companies –CNTs—Did not Change SM Line's Obligations as the Common Carrier for the Inland Transportation or Resulting D&D Charges*

SM Line has advanced a novel, but misguided, attempt to justify its conduct by arguing that SEA's recommendation of inland trucking companies fundamentally changed SM Line's common carrier obligations under the through bills of lading—in effect making SEA responsible for the inland transportation. SM Line is wrong for multiple, independent reasons.

(i) *SEA's Recommendation and SM Line's Use of CNTs Neither Changed SM Line's Obligations as the Inland Common Carrier nor Materially Altered SM Line's Performance of Inland Transportation*

A CNT is a trucker that is recommended or nominated by the shipper or consignee to handle the inland movement of the cargo. PFF ¶ 46. CNTs were nominated because they were proven trucking companies on designated routes, were familiar with SEA's warehouses and customer facilities, and in general were intended to better facilitate cargo fluidity and promote SM Line's

ability to efficiently move containers by adding trucking capacity beyond SM Line's roster of house truckers. PFF ¶¶ 48-49. Despite the recommendations, SM Line retained the sole authority to vet, approve, and hire or not hire any CNT. PFF ¶¶ 47, 50-51, 53-56, 58. SM Line reviewed the recommended trucker's safety records, whether the trucker was in good standing, and participated in the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA"). *Id.* SM Line also negotiated and approved the trucker's rates. PFF ¶ 55. SM Line can, and did, reject CNT nominations. PFF ¶¶ 53-55. Once approved, SM Line directed the truckers to perform the inland transportation via Work Orders, and SM Line paid the truckers. PFF ¶¶ 37, 63, 66. SEA had no contracts with CNT truckers moving SM Line store door cargo. PFF ¶¶ 52, 59.

The record is clear that there is no substantive difference in legitimate transportation circumstances between whether SM Line used a house trucker or CNT for a particular move. ***Indeed, in many cases CNTs were already SM Line house truckers.*** PFF ¶ 69-70. The only issue that SM Line was truly concerned about in practice was the truckers' rates: whether the CNT inland trucking rate was higher than other house trucker rates, and if so, if SM Line had sufficiently covered the trucking rate in its freight charge to the shipper (which covered both the ocean and inland portions of the move). PFF ¶ 57.¹⁹ If SM Line issued a Work Order to a CNT that was unable to perform the move, the responsibility remained with SM Line to procure another trucker to deliver the cargo. PFF ¶¶ 75-77. Finally, SM Line's actual performance of inland trucking was materially the same whether SM Line was using a house trucker or a CNT trucker. PFF ¶¶ 61, 77.

Despite the facts that SM Line vetted, approved, hired, issued the Work Orders, and controlled CNT truckers, SM Line nevertheless claims that there is a difference using CNTs

¹⁹ PFF ¶¶ 89, 90.

because SEA had information about the status of containers and that SEA communicated with CNT truckers. But neither of those factors, or SEA's many efforts to help move the cargo and mitigate SM Line's failures, change SM Line's fundamental responsibility as the inland carrier under store door moves. The CNTs were not under any illusions that SEA was responsible to direct their actions or resolve problems. [REDACTED]

[REDACTED]

In other examples, SM Line insisted that SEA "guarantee" and pay demurrage through the exact day a trucker would attempt to pick up the container. PFF ¶ 254-55. SM Line refused to release containers if additional days accrued while payment was being arranged. *Id.* In an email communication dated September 3, 2021, the trucker was concerned that delays (due to appointment availability and congestion) at the terminal would result in additional demurrage charges. PFF ¶ 256. The trucker requested that SM Line guarantee the charges, to which SM Line responded that the issues were "of out [SM Line's] control" and informed the trucker that SEA would need to pay demurrage to the terminal before the containers would be released. *Id.* If SEA refused, SM Line advised that [REDACTED]

[REDACTED]

Id. That is, SM Line was refusing to perform the inland trucking as required under the bill of lading. In the email exchange, SM Line implicitly concedes that SEA did not control and could not undertake the trucking itself without SM Line first terminating the door bill of lading at the container yard, only after which SEA could then arrange the trucking itself as a CY move.

Moreover, it is undisputed that SEA did not have a trucking dispatch operation (which presumably would have existed if SEA was responsible for the inland movement). PFF ¶ 34. In summary, the facts show that SM Line controlled the inland trucking—whether using house truckers or CNTs. SM Line’s CNT argument is nothing more than an attempt to trump up nomination of CNTs in an improper and unreasonable attempt to justify its wrongful conduct.

(ii) *SM Line’s Misplaced Reliance on its 2017 “CNT Form”*

SM Line also invokes the terms of a 2017 document titled “Request to Use a Customer Nominated Trucker” (“CNT Form”), based on which SM Line argues that SEA contractually agreed to SM Line’s effort to use CNTs to avoid its common carrier obligations for inland transportation and shift inland transportation liability and costs on SEA. PFF ¶¶ 83-85. SM Line’s misplaced reliance on the CNT Form is wholly unavailing for multiple reasons.

First, SM Line’s purported “contract” argument fails at the most basic level because the two CNT Forms are not contracts entered into for any cargo at issue in this proceeding. SM Line points to two undated CNT Forms nominating CNTs that were signed by an SEA employee, Mr. Peter Kim, which the uncontested evidence in the record established were signed in 2017. PFF ¶ 83-88. Tellingly, SM Line does not point to any CNT Forms that were actually signed, or in effect, for cargo during the Relevant Time Period, and none were produced. PFF ¶ 91.

There is no evidence that the CNT Forms were intended to apply to anything other than the request for two CNTs as to the specified cargo lanes at issue in 2017. Indeed, the evidence shows that SM Line itself *did not* intend the CNT Forms to have effect beyond the cargo at issue in 2017.²⁰ PFF ¶ 89-90. SM Line’s written policy on CNT designations in effect in 2017 expressly

²⁰ SEA did not view the CNT Form as doing anything other than delivering its CNT recommendation to SM Line. PFF ¶ 84. Moreover, Mr. Kim did not have the authority to bind SEA (or Samsung foreign affiliates) to the purported contractual undertaking that would have the dramatic and material affect that SM Line asserts, instead

states that CNT designations (i) were required to be associated with a specific “Service Contract Number” and (ii) that the CNT Forms *expire* when the designated service contract expires: [REDACTED]

[REDACTED] PFF ¶ 89. Thus, according to SM Line’s own CNT policy, the CNT Forms were **invalid more than two years before the 2020-2022 inland transportation of cargo involved in this case.**²¹ PFF ¶ 90. With no foundation that the CNT Forms were even contracts relevant to the container movements and charges at issue in this case, further consideration of SM Line’s arguments about the CNT Forms should be considered moot.

Second, the language in the CNT Form plainly shows that the request to nominate a CNT was exactly that – a request – not an agreement or obligation to use a CNT. The CNT Form states that SM Line will evaluate the recommended trucker, vet the trucker, and decide if SM Line will hire the CNT trucker or not: “Based on the information provided, SM Line Corporation will evaluate whether to allow customer to use the customer nominated trucker, referred to in this document as a Customer Nominated Trucker (CNT).” PFF ¶ 83. The CNT Form continues: “SM Line Corporation will consult the Customer Nominated Trucker (CNT) to review the CNT’s insurance coverage, interchange agreements, rates and confirm whether the CNT meets SM Line’s contract requirements.” *Id.* Consistent with the foregoing language, SM Line’s corporate designee conceded that it was not obligated to accept or approve a nominated trucker. PFF ¶ 47.

of the designation of a CNT as Mr. Kim had understood at the time. PFF ¶¶ 85-88. Nor was the CNT Form reviewed or approved by anyone at SEA with sufficient authority to bind the company, and SM Line neither sought nor produced any evidence of corporate authority for Mr. Kim. PFF ¶ *Id.*

²¹ SM Line did not identify any alleged service contract number that may have been associated with the two CNT Forms, but SM Line testified that its service contracts were not more than one year in duration. PFF ¶¶ 89-90.

As to the purported unilateral “terms and conditions” in the CNT Form for inland trucking when using CNTs versus house truckers, SM Line has no factual or legal basis that would permit it to materially alter the fundamental terms of the contract of carriage, via the bill of lading or its common carrier obligations thereunder for inland transportation. SM Line asserts that: “the Carrier will act as the agent of the Shipper for the purpose of arranging trucking”; that the “contract of carriage of inland transportation shall be deemed to be between the trucker and shipper, or the trucker and the owner of the cargo”; and that “[t]he shipper or the owner of the cargo, not the carrier, will employ the CNT even if the carrier’s rates are inclusive of door delivery.” Appendix, CX_004545-46. But none of SM Line’s assertions were in fact true. SM Line was not acting as an agent, SM Line remained the statutory inland common carrier, and SM Line in fact contracted for the trucking. SM Line goes as far as to seek indemnification *for its own negligence* for damage to cargo during the inland transportation, another highly dubious proposition given the well-established common carrier obligations under the Carriage of Goods by Sea Act (“COGSA”), 46 U.S.C. § 30701(8). Even if the CNT Forms were contracts relevant to cargo movements at issue in this case, which they are not, “[o]cean carriers . . . do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).” *Interpretive Rule*, 85 Fed. Reg. 29648 (codified as 46 C.F.R. Part 545).

SM Line’s reliance on the CNT Form not only fails to justify its treatment of SEA for inland transportation charges when SM Line used a CNT, the patently unreasonable attempt to abdicate its common carrier responsibilities with unilateral “terms and conditions” in a dressed-up request form itself constitutes an unreasonable practice under the Shipping Act.

(iii) Rail Storage Charges Remain the Responsibility of SM Line and do Not Relieve SM Line of its Common Carrier Obligations

SM Line cannot disclaim responsibility for charges such as demurrage, detention and rail storage incurred in connection with rail moves. For shipments moving under rail, SM Line's obligations as to the shipments extended from the marine terminal to the inland terminal rail yard. PFF ¶¶ 4, 208, 129-32. SM Line was responsible for ensuring the container was available for pick up at the rail terminal by the trucker and depending on the delivery terms arranged for the inland trucking. PFF ¶ 135. Ordinarily, upon arrival, containers would be discharged and placed directly onto chassis for pickup by truckers. PFF ¶¶ 135-37. But in the event containers stayed at the rail terminal yard past free time, ***rail storage, like demurrage***, would be assessed against the containers until they were picked up. PFF ¶¶ 138-39. However, during COVID, the railroad began stacking containers on top of one another at the yard, due to a lack of chassis, making them inaccessible to truckers. PFF ¶ 142. As a result of these issues, SEA cargo was not actually available for pick up and was considerably delayed. PFF ¶ 137. Under store door terms, SM Line is responsible for ensuring SEA cargo is actually available for pick up at the rail terminal yard. PFF ¶ 135-36. SM Line, not SEA, had the contractual arrangement with the railroads, and SM Line worked directly with the railroads to handle issues regarding extending free time, rail storage charges, container damage or if the container was in an inaccessible location. PFF ¶¶ 108, 132-33. SM Line ***conceded*** that it should not have required SEA to pay for SM Line's subcontractor's rail storage charges when cargo was not available for pick up and/or pick up was delayed for reasons beyond SEA's control, such as chassis shortages. PFF ¶¶ 144, 264.

As reflected in Exhibit 2 of the Smith Report, from 2019 to 2020, SEA was not assessed any rail storage charges. PFF ¶ 344. However, beginning in 2021, SM Line began shifting its common carrier obligations and requiring SEA to pay rail charges directly to the railroads. For

2021, in six-month period, SEA was assessed approximately \$2 million in rail storage charges. PFF ¶¶ 141-42. Initially, SM Line declined to cover rail storage charges on containers that truckers were unable to pick up due to stacking, on the grounds that that situation was out of SM Line's control. PFF ¶ 140. In 2021, following a discussion involving SM Line's U.S. Managing Director and Vice President K.K. Choi and (Solarez presumes) HQ in Korea, SM Line for a limited time covered the rail charges on door moves.²² PFF ¶¶ 143-45. But SM Line did not apply that policy retroactively, did not apply it uniformly, and later reverted to its prior practice of requiring SEA to make payments to the railroads before SM Line completed the door move. PFF ¶¶ 344, 143-45.

The railroads were SM Line's subcontractors. PFF ¶ 108. SEA did not have contracts with the railroads or rail terminals. PFF ¶¶ 129-31. SM Line is responsible for the actions and practices of its subcontractors handling SEA's cargo. SM Line's failure to waive (or pay) the rail storage charges, and requiring SEA to pay charges before SM Line would continue the inland transportation, when cargo was not available for pick-up or pick-up was delayed for other reasons beyond SEA's control, was an unreasonable practice.

(iv) SM Line Failed to Designate Adequate Return Locations or Implement Appropriate Policies to Handle Empty Returns

SM Line was obligated to provide empty return locations for its equipment. In the event of an empty return restriction, such as no available appointments or a dual transaction requirement, SM line should inactivate, or cancel, the detention charge. PFF ¶ 120. Testimony from SM Line employees reveals that SM Line could issue a "stop clock," in limited circumstances, *i.e.*, when terminals were not accepting empty equipment or were shutting SM Line out of the terminals. PFF

²² SM Line and the railroad reached an agreement to limit the total amount of storage-on-storage SM Line would pay on inaccessible/stacked containers to [REDACTED] per container, even if a container was long-dwelling or technically accrued more than that amount in rail storage. PFF ¶¶ 143-45. At that point, SM Line stopped requiring SEA to pay rail storage charges before SM Line would continue the inland transportation. PFF ¶¶ 141-45.

¶ 121. SM Line did not consider port congestion, limited appointment availability, or terminals refusing to accept empty returns to be a sufficient reason to warrant a stop clock, PFF ¶¶ 115, 122, 127-28, despite that each of these circumstances should have warranted Inactivation under SM Line’s D&D Management Procedure. Under a stop clock, SM Line would waive charges from accruing due to terminal and/or port conditions. PFF ¶¶ 120-21. SM Line’s U.S. Office would determine if a stop clock was needed for a particular day and submit the request to SM Line’s Korea HQ. PFF ¶ 126. The stop clock would apply to all customers. PFF ¶ 121.

However, in 2020, SM Line had only designated one location in Los Angeles and Long Beach to return empty containers and provided no alternate return locations. PFF ¶ 122. While SM Line admits that this return location experienced challenges since “the terminal has been struggling with yard space,” SM Line refused to waive detention charges. *Id.* Because SM Line failed to designate alternate return locations, truckers experienced delays in returning equipment, which resulted in SEA paying approximately \$1.3 million in charges. PFF ¶¶ 361-62, 122. SM Line was not incentivized to address these issues because SM Line indiscriminately invoiced SEA for all detention without SM Line first evaluating its own responsibility or providing any evidence of any alleged SEA responsibility. SM Line’s practice of invoicing SEA for all detention without first evaluating SM Lines responsibility and invoicing SEA for detention in a store door move without providing evidence of any SEA responsibility was an unreasonable practice.

5. SM Line’s Practice or Regulation is the Proximate Cause of the Loss

To prove Section 41102(c) unjust and unreasonable shipping practices, the complainant must prove that the practice or regulation was the proximate cause of the claimed loss. 46 C.F.R. § 545.4(e). Under 46 U.S.C. § 41305(b), a complainant is entitled to reparations for “actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b). To meet this burden, “a party must show that it is entitled to a specific reparation, *i.e.*, that it sustained actual loss or injury and that the

violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Dkt. No. 96-05, 2001 WL 865708, at *80 n.75, (FMC June 1, 2001); *see also William R. Adair v. Penn-Nordic Lines, Inc.*, FMC Dkt. No. 1695(F), 1991 WL 383091 at *23, (ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”).

The Commission has held that payment of D&D charges is sufficient to prove actual injury. *Hapag-Lloyd, A.G.*, 2022 WL 1239377 at *34; *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.*, FMC Dkt. No. 1987(I), 2023 WL 5375592, at *14 (ALJ July 17, 2023) (Claimant “demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents’ conduct.”). Consequential damages beyond D&D, including but not limited to, lost profits or rail storage, are also recoverable as a matter of law because these payments were necessary due to SM Line’s derogation of its store door inland carriage duties, and did not stem from a single shipment or transaction. *Id.*; *see also Crocus Inv., LLC*, 2021 WL 3732849, at *12.

During the Relevant Time Period, SM Line began assessing exorbitant D&D charges against SEA. PFF ¶¶ 9, 344. The D&D charges related to store door moves of SEA cargo. PFF ¶ 21. SM Line, as the carrier, was responsible for both the ocean and inland transportation, and should have only assessed D&D charges for instances where SEA was the direct and proximate cause of the delay. PFF ¶ 22. Moreover, due to SM Line’s unjust and unreasonable regulations and practices, SEA incurred charges in the amount of \$14.6 million and paid those amounts. PFF ¶¶ 9, 344. SM Line’s D&D policies and practices were the proximate cause of SEA’s enormous loss.

In sum, SEA has satisfied all five elements of its claim under Section 41102(c) such that the Presiding Officer should find liability thereunder against SM Line.

K. Certain SM Line Invoices Violated OSRA's New Guard Posts as to Invoicing Without Required Information Under 46 U.S.C. § 41104(a)(15)

In regard to SEA's Fourth Cause of Action in the Complaint, upon the passage of OSRA, ocean carriers are required to comply with demurrage or detention billing practices, promulgated under 46 U.S.C. § 41104(a)(15). Section 41104(a)(15) provides that D&D issued to a party must provide the following information:

- (A) Date that container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges. 46 U.S.C. § 41104(d)(2).

The evidence establishes that SM Line failed to provide all required information in the D&D invoices subject to OSRA. PFF ¶ 227. Among other things, the cited invoices do not include the date each container is made available; the applicable detention rule on which the daily rate is based; a statement that the charges are consistent with any of FMC rules with respect to D&D; or a statement that SM Line's performance did not cause or contribute to the underlying invoiced charges. PFF ¶ 211. While SM Line provides an email address for disputes, as noted above, SM Line has failed to establish meaningful dispute resolution practices, where a party would receive an individualized response related to an actual dispute arising from the invoice. PFF ¶¶ 239-42. Since July of 2022, SM Line has issued 8,152 invoices, totaling \$2,377,639 in charges. PFF ¶ 344.

L. SM Line Invoices Violated OSRA with Inclusion of Unreasonable Charges Under 46 U.S.C. § 41104(a)(14)

In support of SEA’s Fifth and final Cause of Action under the Complaint, Section 41104(a)(14) provides that an ocean carrier “either alone or in conjunction with any other person, directly or indirectly, shall not assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of Section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).” SM Line repeatedly assessed unreasonable charges against SEA, in violation of Section 41102(c).

SM Line’s policy and practices of assessing D&D charges for store door moves are also in violation of Section 41104(a)(14) because SM Line was responsible for inland transportation charges, including D&D charges except in limited circumstances where SEA was directly responsible for the charges. Yet, as noted above, the evidence reflects that SM Line assessed D&D charges against SEA regardless of actual liability. By failing to do so, SM Line cannot legitimately satisfy the requirement that it certify that “the common carrier’s performance did not cause or contribute to the underlying invoiced charges.” 46 U.S.C. § 41104(d)(2)(M). Though SM Line’s conduct in this regard commenced prior to OSRA, that timing does not absolve SM Line of its pre-OSRA obligations to enforce just and reasonable regulations and practices. Repeatedly invoicing a party without a legitimate legal basis, and indeed shifting to a practice where SM Line systemically assessed charges on a consignee without first evaluating the potential responsibility of the charged party, is unjust and unreasonable under pre-OSRA Section 41102(c) principles. SM Line’s practice is especially egregious because the evidence shows that SM Line knew or should

have known that forcing SEA to pay for all the D&D charges during the Relevant Time Period was directly at odds with its obligations under store door terms.

V. SEA IS ENTITLED TO DAMAGES AS IT MUST BE REPAID FOR THE D&D CHARGES IT WAS FORCED TO PAY AND OTHER COSTS INCURRED

SEA has established that SM Line committed serious and extensive Shipping Act violations, particularly unreasonable and unjust practices occurring on a normal, customary, and continuous basis under Section 41102(c). SEA is entitled to reparations for the damages it suffered. With a staggering 18,186 D&D charges incurred, it is expected that parties would engage damages experts not only to assist the parties in assessing their own records and develop evidence, but also to assist the Presiding Officer in making damages findings in its initial decision. SEA and SM Line did so here, and SEA focuses a majority of its damages section to that body of work so the Presiding Officer can decide whose opinions to afford appropriate weight as the trier of fact.

SEA retained a CPA with extensive damages expertise to evaluate SEA's damages data. As discussed extensively below, the expert reviewed SEA's payment records contained within its SAP system—a business data management system used to capture the payment of charges in the ordinary course of business—to confirm SEA incurred direct damages in the amount of at least \$14.5 million in D&D invoices *actually paid by SEA* to SM Line or third parties on SM Line moves of SEA cargo. PFF ¶ 329. He also considered errors in SM Line's data, questioned the veracity of SM Line's calculations of direct damages and found a lower amount. PFF ¶ 331. SEA's expert further concluded that SEA incurred a "reasonable estimate" of \$2.6 million in additional costs and lost profits which should be attributed to SM Line beyond the D&D charges. PFF ¶ 395.

As SM Line's expert opined primarily on liability challenges, not on the veracity of SEA's direct damages calculations in particular, once it is recognized that SM Line engaged in the

unreasonable conduct alleged, the Presiding Officer should award substantial reparations pursuant to the following authority.

The Shipping Act provides that “the Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.” 46 U.S.C.A. § 41305(b). The complainant bears the burden of proving that it is entitled to reparations. *Yakov Kobel v. Hapag-Lloyd A.G.*, FMC Dkt. No. 10-06, 2014 WL 25316331, at *13 (FMC July 30, 2014). A reparation claim is to be calculated based on the complainant’s actual damages. *Id.* at *14. Actual damages mean “compensation for the actual loss or injuries sustained by reason of the wrongdoing,” which loss or injuries a complainant must show to a reasonable degree of certainty. *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, FMC Dkt. No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990). Furthermore,

The term “actual damages,” at common law, means those recoverable from a wrongdoer as compensation for the actual loss or injuries sustained by reason of the wrongdoing. ***It includes all damages sustained, except punitive or exemplary damages.***

Id. (citing 22 Am. Jur. 2d Damages § 904, at 926) (emphasis added).

The “goal of awarding damages is to make the injured party whole,” hence, the “proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.” *Kobel*, 2014 WL 5316331, at *14. Chief Administrative Law Judge Wirth’s 2021 decision quoting measures of proof on damages is instructive:

The statements of the Commission in [*California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990)] and other cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principles that the fact of injury must be shown with reasonable certainty, ***that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences***, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered the

contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

MAVL Capital Inc. v. Marine Transp. Logistics, Inc., FMC Dkt. No. 16-16, 2021 WL 4554718, at *28 (FMC Sept. 29, 2021) (emphasis added) (quoting *Tractors & Farm Equip. Ltd. v. Cosmos Shipping Co.*, FMC Dkt. No. 81-57, 1992 FMC LEXIS 86, at *52-53 (ALJ Nov. 23, 1992)).

Finally, in the event SM Line challenges the scope of damages supports, the Presiding Officer may take into account the wrongdoer's own actions in allowing the systematic destruction of D&D charges evidence which may have interfered in the complainant's ability to prove its damages with more precision:

[I]n situations *where a wrongdoer has by its own action prevented the precise computation of damages*, the Court has stated that the wrongdoer ***must bear the risk of the uncertainty and that damages can be shown by just and reasonable estimates based on relevant data.***

Cal. Shipping Line, 1990 WL 427466, at *23 (emphasis added) (citing *Bigelow v. RKO Radio Pictures*, 327 U.S. 251, 264-65 (1945)); *see also In re NTL, Inc. Sec. Litig.*, 244 F.R.D. 179, 198 (S.D.N.Y. 2007) (a court must not “hold the prejudiced party to too strict a standard of proof regarding the likely contents of the destroyed or unavailable evidence because doing so would subvert the purpose of the adverse inference, and allow parties who have destroyed evidence to profit from that destruction”). With these principles in mind, SEA addresses the expert evidence tendered by each of the parties with respect to SEA's damages.

A. Report and Testimony of SEA's Damages Expert Gregory Smith

For the purpose of supporting SEA's claim for damages in this proceeding, SEA engaged damages expert Mr. Gregory E. Smith with the Berkeley Research Group. Mr. Smith is a Certified Public Accountant, a Chartered Global Management Accountant, and a Master Analyst in Financial Forensics with over thirty years of accounting, consulting, and business experience. PFF

¶ 326. Mr. Smith was asked by SEA to quantify damages (if any) incurred by SEA related to SM Line’s movements of containers for which SEA was the consignee during the period from 2019 through 2022. PFF ¶¶ 326-328. After considering the evidence, Mr. Smith concluded that SEA incurred direct damages in the amount of at least \$14.5 million. PFF ¶ 329. He also found SEA suffered about \$2.6 million in additional costs and lost profits attributable to SM Line.²³ PFF ¶ 330.

1. Mr. Smith’s Meticulously Gathered Relevant Information and Assured Quality in SEA’s Damages Figures

Mr. Smith did not just calculate SEA’s damages figures. Rather, he also explained what actions he undertook to satisfy himself that the damages figures were based on accurate data. For example, as described in further detail below, Mr. Smith performed the following actions to investigate the source and accuracy of SEA’s data, including but not limited to:

- Determining the process by which SEA stored (and later gathered) the raw data on its damages claims;
- Spending considerable time with SEA personnel reviewing the documentation supporting SEA’s claims for the purpose of understanding the information stored in SEA’s data storage system; and
- Undertaking tests of the documentary support for SEA’s databases to ensure that documentary evidence in fact existed and supported the figures that SEA was presenting as its damages claims.

SEA addresses each of these actions below in turn.

²³ Mr. Smith identified additional damages as “wages paid to employees hired specifically to process inbound containers and inland transportation charges; temporary staff hired for the same purpose; lease expenses for off-dock facilities utilized to handle overflow containers; additional handling and trucking charges incurred by SEA; and lost revenue due to products not delivered and available for sale.” PFF ¶¶ 365-67. While he did not perform detailed calculations of all of these additional damages, Mr. Smith did opine to a reasonable degree of economic certainty that (a) the damages were incurred, and (b) they could be reasonably estimated as amounting to \$2.6 million. PFF ¶ 395.

a) SEA's Storage and Gathering of Relevant Financial Data

The data utilized to calculate SEA's damages, and shown in Exhibit 1 to Mr. Smith's Expert Report, was extracted from SEA's SAP system. PFF ¶ 334. SEA's corporate witness testified that SEA employs a "Barracuda" data storage system which stores decades of data and automatically and routinely captures information from individual workstations. PFF ¶ 335. SAP is an enterprise resource planning software system ("ERP") that provides businesses with capabilities to manage business processes such as accounting, logistics, and numerous other functions. PFF ¶ 336. SAP SE is a market leader in offering ERP systems and accepted through industries as a business-accepted practice. PFF ¶ 337.

b) Mr. Smith's Thorough Investigation of SEA's Financial Data

Mr. Smith met with multiple SEA personnel on numerous occasions to review and discuss the relevant data contained within its SAP system. PFF ¶ 331. He was advised by the SEA personnel he interviewed that "the SAP system is used in the ordinary course of business to regularly record, log and track the information on shipments and charges and is used to make payments to its vendors." PFF ¶ 335-37. Smith also "spent considerable time with SEA personnel reviewing supporting documentation...to understand the information captured in the SAP system." PFF ¶ 331. This information included, but was not limited to, invoices, waybills, and electronic payment files. PFF ¶ 332; Appendix, CX_004161-62 (Smith testifying that he also reviewed supporting documentation, such as "invoices and waybills and work orders that showed the underlying documentation of each of those charges" with SEA personnel). In addition to the documentary evidence provided by SEA, Mr. Smith also reviewed data produced by SM Line from its own records documenting charges paid by SEA for D&D. PFF ¶ 340. This data came from SM Line's ALPS/SAP system. *Id.*

c) Mr. Smith Performed Quality Control Checks on the SEA Damages Data

During his deposition, Mr. Smith acknowledged that he did not review all of the underlying documentation supporting SEA's SAP business records as it was not necessary in order to offer his opinions. PFF ¶¶ 338-39. For example, he did not look at the underlying supporting data for each container at issue in this dispute. PFF ¶ 339. Rather, Mr. Smith reviewed supporting information for targeted container claims which "illustrated the accuracy of the information captured in SEA's SAP system regarding inland transportation charges." *Id.* The Smith Report provides examples of this quality control process used to check the accuracy of SEA's data, including references to numerous documents as examples of checking his work. PFF ¶ 346. When questioned about his review of SEA's damages documentation, Mr. Smith testified, Appendix, CX_004161-62, that:

I also did review a number of invoices and waybills and work orders that showed the underlying documentation for each of those charges, and in all instances, I was able to verify that the data contained in the data set was accurate.

d) SEA's Damages, as Calculated by Mr. Smith, are Reliable

Having reviewed SEA's data storage and collection methods, having spoken with the SEA personnel familiar with the SAP system, and having conducted quality assurance checks on the accuracy of the SEA data, Mr. Smith opined that "the charge data produced by SEA provides a sound basis from which to compute direct damages in this matter." PFF ¶ 346.

2. Mr. Smith's Damages Analysis Protocol

Mr. Smith's analysis "includes all charges on SM Line shipments posted [and] recorded by SEA to its SAP system during the period from January 1, 2020 to December 31, 2022." PFF ¶¶ 331-32, 334-39. As detailed above, Mr. Smith then looked at the various claims related to SM Line's overcharges and did spot checks on those items. PFF ¶ 346. As a three-year statute of

limitations governs SEA's claims, he excluded charges incurred prior to April 20, 2020 (*i.e.*, three years before the date of the filing of SEA's Complaint) from his damages calculations which lowered the value of the D&D charges paid by SEA from \$14.6 to \$14.5 million. PFF ¶ 347.

3. Mr. Smith's Assumption of SM Line's Liability is Appropriate

Regarding calculation methods for reparations claims before the Commission, "[t]he method chosen depends on the evidence available and which calculation more accurately measures the actual loss." *MAVL Capital*, 2022 WL 2209421, at *3 (June 10, 2022). As a damages expert, rather than a liability expert, Mr. Smith conducted his analysis (and performed his calculations) on the assumption that SEA has proven SM Line's liability and that his assignment is to calculate the resulting damages. PFF ¶ 327. ("As is customary in evaluating damages in commercial disputes, I have assumed that SM Line is liable to SEA for the violations alleged in the Complaint and that SEA is entitled to recover damages (reparations) from SM Line."). SM Line's damages expert, Mr. Mark Gauthier, agreed with Mr. Smith's assumption:

Q. Okay. So we agree that Greg Smith assumed liability on the part of SM Line for purposes of his report?

A. Correct.

Q. Okay. And I'm just asking, you know – so, in your report you're not disputing or rebutting [Greg] Smith's assumption of that liability for purposes of his own report, the Greg Smith report?

A. No. No, I'm not.

Appendix, CX_003793-94. Mr. Smith's assumption of liability is standard practice for a damages expert. PFF ¶ 327.

4. Mr. Smith Assesses SEA's Reliable and Trustworthy Damages Data

After assuming that SM Line was responsible for the payments that SEA made with respect to SM Line's carriage of SEA's containers, Mr. Smith analyzed (1) "the economic impact of the

harmful event,” then (2) calculated “the difference between the plaintiff’s actual economic position and what it would have been if the harmful act had not occurred.” PFF ¶ 328.

a) SEA’s Direct Damages Paid on SM Line Cargo Moves

The Smith Report identifies SEA’s direct damages as “at least \$14.5 million for inland transportation payments incurred in connection with SM Line shipments.” PFF ¶ 347. Because SM Line did not perform fully with respect to its obligation to deliver SEA’s goods, SEA was forced to pay for inland transportation D&D charges and costs that it never should have incurred.

Mr. Smith opined on SEA’s entitlement to these direct damages by preparing a variety of exemplar exhibits. Exhibit 1 of the Smith Report is a 424 page long single-spaced document which includes D&D charges *incurred and paid* by SEA related to SEA containers carried by SM Line from the second half of 2019 through the end of 2022, which charges amount to \$14,623,541.61. PFF ¶¶ 343-47. Exhibit 1 provides extensive information, including: (i) the charges paid, (ii) the container numbers, (iii) the bill of lading numbers, (iv) the nature of the charge (*e.g.*, demurrage, detention, rail storage, etc.), (v) the invoice amounts, and (vi) the dates that the invoices were posted. SEA provided to SM Line SEA’s electronic files with respect to these charges:

To aid in addressing the full measure of direct damages SEA paid on SM Line containers moves, SEA provided and produced to SM Line in this action an electronic file (with three worksheets) detailing all of the above-referenced inland transportation charges incurred, posted, and paid in connection with SEA containers transported by SM Line during the period from 2019 through 2022.

PFF ¶ 343. As explained by Mr. Smith, of this collective amount of \$14,623,541.61, he excluded all charges incurred prior to April 20, 2020, as those charges incurred earlier than April 20, 2020 fell outside the three year limitations period as SEA’s Complaint was filed on April 19, 2023. PFF

¶ 347. The exclusion of D&D charges prior to April 20, 2020 is the cause of SEA’s direct damages being reduced from the entire \$14,623,541.61 to “at least \$14.5 million.”²⁴ PFF ¶¶ 343, 347.

Exhibits 1.1 and 2 of the Smith Report set forth the categories of charges paid by SEA related to the SM Line moves, with Exhibit 1.1 providing cumulative totals for each category throughout the period from 2019 to 2022 and Exhibit 2 providing cumulative charges for each category by quarter.²⁵ PFF ¶¶ 341, 344. These exhibits reflect that SEA’s system data established the actual charges paid by SEA to SM Line or to third parties that should have been paid by SM Line, with specific calculation methods for each type of damages and associated costs, including: (1) demurrage; (2) rail storage; (3) equipment detention; (4) rehandling; (5) yard storage; (6) prepull; (7) chassis usage; (8) expedite; (9) diversion; (10) driver detention; (11) chassis flip; (12) chassis reposition; and (13) chassis split. PFF ¶ 345.

Mr. Smith also considered SM Line’s D&D policies and compared the SEA and SM Line document productions to gain a holistic picture of charges. PFF ¶¶ 333, 338-40. (noting that SM Line’s internal rules with respect to invoice review meant that nearly all of the charges invoiced by SM Line could only be revised or voided by SM Line’s Korea HQ). With respect to the SM Line detention charges (which by their nature were invoices directly originating from SM Line), Mr. Smith noted that SEA’s records showed that it recorded payments totaling \$1.3 million during

²⁴ The exact amount of the “at least” \$14.5 million can be seen when reviewing Exhibit 2, *infra*. PFF ¶ 344.

²⁵ Exhibit 2 is the most user-friendly aide to confirm the amount of charges time barred. PFF ¶ 344. With SEA’s Complaint filed on April 19, 2023, and a three-year limitations period, SEA can seek reparations for charges incurred before April 19, 2020 (Q2 2020). PFF ¶ 1. SEA incurred **no demurrage or rail storage charges** whatsoever on or before Q3 2020 so SEA all of these charges are safely within the permissible recovery period. PFF ¶¶ 344-45. For detention and other related charges, the Q4 2019 charges of \$13,999, the Q1 charges of \$44,031 and a portion of the Q2 charges of \$73,979 before April 19, 2020, are time barred and thus excluded by the expert. *Id.* As such, the “at least \$14.5 million” in D&D charges recoverable accounts for the no more than \$132,009 in Q4 2019, Q1 2020 and Q2 2020 D&D charges billed, and paid, in the time bar period. PFF ¶¶ 344-47. The exact amount can be calculated by reviewing all charges in Exhibit 1, of course, and excluding the pre-April 20, 2020 charges. *Id.* Using the “Transaction #” on the left hand column of Exhibit 1, the exact amount of the \$132,009 time-bar period is \$88,755.00. PFF ¶ 347 **Thus, the exact amount of post April 20, 2020 charges that SEA is entitled to seek recovery for is \$14,534,787.00.** *Id.*

the Relevant Time Period, while SM Line's records reflected the collection of \$1.2 million over roughly the same period. PFF ¶¶ 361-62. With respect to demurrage (which by their nature were occasionally directly invoiced by SM Line, but were generally invoiced indirectly by SM Line's subcontractors), the SEA and SM Line records have a greater divergence (\$7.2 million versus \$5.4 million, respectively), but Mr. Smith explains that this differential likely reflects the portion of demurrage paid to the port terminals and therefore not received by SM Line. PFF ¶ 363. While these are general figures, they each tend to show that SEA's data was accurate as reviewed by Mr. Smith, and that SM Line's records (to the extent that they measure funds received by SM Line rather than a third-party vendor) align with SEA's figures.

Notably, with regard to substantive topics covered in Mr. Smith's report, during Mr. Smith's deposition, SM Line chose *not* to challenge/question him on at least these key topics:

- **SM Line's ALPS system**: the ALPS system is SM Line's internal system to store information regarding the container business, including D&D, invoicing, and pricing. Mr. Smith's damages calculations were analyzed in part incorporating SM Line's own ALPS data. PFF ¶¶ 339-40. SM Line's deliberately avoided questioning Mr. Smith in this area or attempt to challenge the thoroughness of his methodology.
- **SM Line's Expert Damages Report**: besides passages in Mr. Gauthier's expert damages report related to a purported "reconciliation process" manufactured by Mr. Gauthier, SM Line did not question Mr. Smith on any other aspect of Gauthier's expert report, presumably so that Mr. Gauthier's faulty analysis could not be discredited by Mr. Smith (including that Mr. Gauthier's report was essentially copied from another expert report in another matter with minimal changes or analysis to make it plausible as original work product).
- **Supply Chain Disruptions**: SM Line avoided questions related to the pandemic-caused supply chain disruptions to avoid discussion on why SM Line began unjustly shifting its store door responsibilities. Meaningful questioning on supply chain disruptions would have revealed the massive increase in SM Line's profits from D&D as demonstrated by Mr. Smith's analysis and report.
- **Empty Returns**: SEA's claim for equipment detention is in the approximate amount of \$1.3 million. PFF ¶ 361. As detention relates to the untimely return of chassis and containers to the terminal, a critical aspect of the detention question is whether the trucker was unfettered in its ability to timely return the empty containers to the terminal. Hence, if Mr. Smith drew

unwarranted assumptions or made incorrect conclusions regarding the return of empty containers to the terminals – an area in which Mr. Gauthier criticized Mr. Smith’s process – one would expect that this issue would be an important material element of his cross-examination. Yet SM Line essentially avoided questioning on this this entire area.

These topics play a key role in calculating damages in this matter and the fact that they were absent from SM Line’s deposition inquiries is telling. SM Line realized that the substance of Mr. Smith’s report was unassailable, and SM Line sought to avoid augmenting a record that already contained a plethora of damaging material.

b) SEA’s Additional Costs and Lost Revenue

SM Line’s failures to perform under its through bills of lading did not just cause SEA damages relating to completing moves that SM Line was obligated to undertake. SM Line also caused SEA damages relating to added expenses necessitated by having to respond to SM Line’s failures to perform as well as losses in revenue.

(1) SEA’s Additional Costs

Mr. Smith has calculated SEA’s additional costs attributable to SM Line as \$2,507,813. PFF ¶ 364-67. This figure was reached in part through his assessment of: (1) the additional personnel hired to handle the “dramatic increase of land transportation charges” that SEA was being assessed by ocean carriers in 2021 and 2022 and (2) the costs of leasing short term leases for the off-dock container yards that SEA used to remove containers from the port terminals and rail yards so as to reduce or eliminate demurrage and/or storage charges being assessed against those containers by the port terminals, the ocean carriers, and the rail carriers. PFF ¶ 365. In the case of both of these categories of additional costs, Mr. Smith did not attribute 100% of these costs to SM Line. Rather, he limited these additional costs to 4.5% of their entirety, which reflected SM Line’s portion of SEA’s inbound cargo volume during the Relevant Time Period. PFF ¶ 366. Using

this formula, Mr. Smith calculated SM Line's portion (*i.e.*, 4.5%) as totaling \$45,939 for additional personnel costs, *id.*, and \$1,853,758 for the off-dock container yard leases. *Id.*

The final element of additional costs addressed by Mr. Smith relates to SEA's incurring of significant inland transportation costs for containers when it "stepped in to arrange for transportation services even though SM Line was responsible to provide such services." PFF ¶ 367. Unlike the other two additional costs, which were prorated across all of the ocean carriers carrying SEA containers, for this cost Mr. Smith was able to break out the charges attributable to SM Line. These charges—largely for trucking, fuel, and related gating and lift charges—amounted to \$654,055. PFF ¶ *Id.* In his deposition, Mr. Smith confirmed these charges were akin to the direct damages charges as SEA was able to attribute the full charges to SM Line actions. *Id.*

(2) SEA's Lost Revenue

SEA also lost sales revenue as a result of the late deliveries of SEA products. Mr. Smith details that this occurred in at least two ways: (1) "SM Line's failure to make timely delivery of SEA's containers caused SEA to have to sell some products at a discount," and (2) "for products being delivered to SEA warehouses and then sold to its customers, the aging of the product would again lead to a requirement to offer discounts to move the products." PFF ¶¶ 368-70. SEA's lost revenue claim is "measured by the difference between the originally contracted purchase price for these products and the discounted price actually realized by SEA." PFF ¶ 370.

For example, in situations where SEA customers rejected purchase orders due to delays or those that were delayed long enough that SEA customers demanded a discount, SEA "lost \$418,840 in sales on these products." PFF ¶¶ 368-70. When it came to lost sales due to delays, Mr. Smith was not "provided with the data on the ultimately realized prices for these products." Appendix, CX_004476. Mr. Smith candidly acknowledges in his report that—unlike SEA's other claims—he is "not able to specifically quantify SEA's damages in this [the lost sales revenue]

category.” *Id.* Therefore, he used a conservative loss figure, noting that “even if the effective discount after rejection from the original purchaser was only 10% (and the economic evidence is that the original purchaser’s revealed preference was that, after the purchase order expired, the product was not worth the original purchase price), the associated damages would be \$41,884. PFF ¶ 370.

In sum, when assessing additional costs supporting evidence, Mr. Smith found “(a) it is my opinion that, to a reasonable degree of economic certainty, such damages were incurred, and (b) a reasonable estimate of such damages would be in the range of \$2.6 million.” PFF ¶ 395.

B. The Gauthier Report is Unreliable and Inaccurate

When the Presiding Officer is reaching its damages conclusions as the finder of fact, the Expert Damages Rebuttal Report of Mr. Mark E. Gauthier dated March 1, 2024 (the “Gauthier Report”) to SEA’s damages expert Mr. Greg Smith should be afforded little to no weight. Remarkably, the very first paragraph of the Gauthier Report (“Limitations”) reveals that Mr. Gauthier reviewed little of the evidentiary record and that he reserved the right to revise his opinion if his conclusions differ *after he fulsomely, actually reads the damages evidentiary record*:

Opinions expressed in this report are based upon inspection of the complaint filed in this matter and a *limited* inspection of narrative and schedules presented in the [Smith Report]. Our inspection of the materials considered by Smith could lead us to express findings and opinions that differ from those expressed herein. We reserve the right to supplement findings and opinions expressed herein *after reviewing the materials identified in the Smith Report*.

Appendix, CX_004374. While Mr. Gauthier attempted to distance himself from this disclaimer during his deposition,²⁶ his lack of knowledge as to even the most basic facts of this dispute speak

²⁶ Mr. Gauthier testified as follows regarding the disclaimer contained at the very beginning of his report:

Q. You write, in the limitation section there, that, a concluding line, we reserve the right to supplement findings and opinions expressed herein after reviewing the materials identified in the Smith report.
Do you see that line?

much more loudly than his purported “correction” of his report during his deposition. Indeed, an argument could be made that the disclaimer above is the most accurate statement made by Mr. Gauthier in his entire report. Mr. Gauthier specifically testified as to the following details surrounding his retention and the preparation of “his” report:

- He was contacted by SM Line’s attorneys on or about February 10, 2024 to act as SM Line’s damages expert in this matter. PFF ¶ 372.
- He received the Smith Report sometime after February 21, 2024 and his report is dated March 1, 2024. PFF ¶ 374.
- ***Gauthier did not prepare the initial draft of his own report.*** PFF ¶ 374.
 - The first draft of the Gauthier Report he “believe[d] was done by Tammy [Thomas]” of his firm, Marcum. PFF ¶ 376.
 - He later had to concede, when showed a redline of his report and the damages report submitted by another purported expert in *Samsung Electronics America, Inc. v. Zim Integrated Shipping Services Ltd.*, FMC Dkt. No. 22-03, that whole statements and opinions were taken from that ZIM report submitted by another Marcum colleague. *Infra*, **Section B 1**.
- He “did not feel it necessary to interview anyone at SM Line” to complete his report. PFF ¶ 380.
- The entirety of the documents that he considered were the Smith Report including the exhibits. PFF ¶ 374.

Despite its skimpy foundations as explained above, and despite his mere three weeks’ time on the file, Mr. Gauthier contends the Smith Report employs unreasonable assumptions, disregards relevant facts, and oversimplifies a complex situation. But a mere cursory review of the points

[Gauthier]: Correct.

Q. Why do you say after reviewing? Haven’t you already reviewed the materials identified in the Smith report?

A. Yes. That sentence was placed there and was – could have been removed.

raised by Mr. Gauthier reveals his lack of attention to detail and raises questions as to how much time or effort he invested in “his” so-called “expert” report.

1. The Gauthier Foundational Work is Copied and Inauthentic

Mr. Gauthier presented himself as an extremely noncommittal witness with virtually no knowledge about the shipping industry, let alone the specifics of SEA’s dispute with SM Line. His testimony only further undermined the credibility of his report. Mr. Gauthier’s lack of experience regarding the Shipping Act, FMC procedure, and the Incentive Principle are palpable throughout his deposition. PFF ¶ 382. To illustrate his rudimentary understanding of the shipping-related terminology/basic concepts, he testified that a “cargo hold” is simply the time cargo is at a port, or alternatively, refers to the “bowels of an oceangoing vessel where cargo is stored.” CX_003745. He accepted his expert witness role because his employer, Marcum LLP, solicited experts for this matter and he believed he had the requisite shipping experience (which he demonstrably does not) because, since June 2023, he has been serving as a consulting expert in another shipping company matter before the FMC. PFF ¶ 381. In that matter, he has been “analyzing thousands of shipping documents relative to the importation of containers” since June 2023 for that FMC matter. Appendix, CX_003736. Yet despite clearly realizing the magnitude of such an undertaking (he has been working on his other matter for a number of months), Mr. Gauthier viewed himself as qualified to issue his expert damages report in this matter three weeks after first being contacted.

The more likely reason Mr. Gauthier took the job presented itself near the end of his testimony. When he was asked further questions about the team that prepared “his” report, Mr. Gauthier included another name on his team – Ricardo (“Rick”) Zayas, who recently retired from Marcum, but “assisted in all preparation aspects of the report.” PFF ¶ 375; Appendix, CX_003900. Mr. Zayas was the author of the ocean carrier’s expert damages report in a proceeding pending before the FMC titled *Samsung Electronics America, Inc. v. Zim Integrated Shipping Services Ltd.*,

FMC Dkt. No. 22-30. Mr. Gauthier admitted that he met with Mr. Zayas “multiple times” during the time period before he submitted his expert report also in the presence of SM Line’s counsel. PFF ¶ 375. Mr. Zayas still remains retained on a consulting basis with Marcum and with SM Line in this matter. PFF ¶¶ 375-77. Only after all of this information came out under examination, and he was directed to compare the nearly-identical language of the Zim expert damages report (authored by Mr. Zayas) and his “own” report, Mr. Gauthier suddenly *remembered* that “Mr. Zayas took a first pass, if you will, at the report.” PFF ¶ 376. But when he was called on the fact that he had testified at the beginning of his deposition that his colleague Tammy Thomas had prepared the first draft of his report, Mr. Gauthier responded:

Did I – if I said that, then I – I may be incorrect there, but Mr. Zayas – as I recall, Mr. Zayas – well, I understood that they were working together. So I don’t know.
The answer is I don’t know.

Appendix, CX_003906 (emphasis added). It is evident what occurred here. Mr. Zayas retired and would not be acting as an expert witness. Mr. Gauthier – despite having virtually no knowledge of the file and no realistic time to prepare – agreed to sign his name to an expert report that was copied from the expert report submitted by Mr. Zayas in the *Zim* suit (and it appears ghostwritten by Mr. Zayas in *this* matter!).

Mr. Gauthier’s lack of knowledge of fundamental facts in this dispute (and apparently not even preparing his “own” report) makes him a suspect expert at best, and subject to disqualification as an expert at worst. As will be evident when assessing the analysis following, Mr. Gauthier’s testimony has demonstrated that he is not a competent expert witness and his resulting opinion is not credible, because he has virtually no experience with this case, he conducted no background investigation, and indeed borrowed key parts of the report on which he put his name.

2. Mr. Gauthier’s Lack of Attention to Detail is Glaring

In turning to the ghostwritten Report, as an initial matter, Mr. Gauthier testified that he did not interview anyone at SM Line, he did not ask to interview anyone at SM Line, and SM Line did not offer to speak to him. PFF ¶ 380. This should not come as a surprise as he did not write the Report. And when asked why he had no contact with SM Line, he agreed that he did not feel such contact was necessary for rebuttal work. *Id.* Similarly, Mr. Gauthier testified that – in preparing the Gauthier Report – he did not ask SM Line for any additional documents other than the Smith Report and its exhibits. PFF ¶ 379, 385.

An example of where interviewing persons at SM Line could have assisted Mr. Gauthier in avoiding a foundational error in his work, he makes strident statements on store door and CY moves which could have been verified by SM Line personnel and instead resulted in a misreading of the Smith Report. Mr. Gauthier failed to realize the Smith Report considered SEA container moves that were both store door and CY, stating: “SEA and Smith base their financial damage claims on an assumption that all containers shipped for SEA by SM Line were shipped pursuant to ‘store door’ terms throughout the entirety of the shipping cycle.” Appendix, CX_004377. Yet, the Smith Report mentions *twice* that a portion of SEA’s claims relate to CY moves. PFF ¶ 266. While the many containers shipped with SM Line were shipped under store door terms, the Smith Report clearly states that “beginning in 2022, SEA moved its shipments with SM Line to CY (container yard) terms....” Appendix, CX_004456. Mr. Smith further stated “as a result of the problems associated with SM Line’s failure to effectively manage the inland transportation aspects of Store Door shipments, in 2022 SEA began to transition from Store Door moves to CY moves . . .” PFF ¶ 28.

When challenged at his deposition with these statements in the Smith Report supporting certain of SEA’s claims being based on CY moves and asked to reaffirm his statement that all of

SEA's claims were based on store door moves,²⁷ Mr. Gauthier stated: "I have no way of knowing that." Appendix, CX_003850. Indeed, on the CY moves, when questioned on the issue, Mr. Gauthier responded:

I understand now, *subsequent to the issuance of my report*, that there were CY shipments that were potentially part of [the Smith Report] Exhibit 1 So the restatement of that [Gauthier's statement that all of SEA's claims were based on store door moves] would be they were subject – a significant portion of all SEA shipments were subject to store door terms might be the modification of that.

Appendix, CX_003847. Separately, Mr. Gauthier suggests that the Smith Report's reference to the \$14.5 million figure with respect to direct damages "is a typographical error." PFF ¶ 348. This statement demonstrates Mr. Gauthier's failure to consider (or his intentional disregard) of footnote 67 in the Smith Report, which clearly excludes charges incurred prior to April 20, 2020. *Id.* The expiration of the limitations period on a sliver of SEA's claims – not a "typographical error" – is the reason for the difference in the two figures in the Smith Report. Again, when questioned at his deposition and walked through SEA's damages claims and excluding the time barred claims, Mr. Gauthier conceded that Mr. Smith's \$14.5 million figure appeared consistent with the data on the record. *Id.* (stating that "[t]he math does work out that way [reaching Smith's \$14.5 million figure] closely without doing it [a calculation] here.").

Mr. Gauthier next suggests that SEA's damages should not be credited for times earlier than late-2020. The sole basis for this conclusion is based on language in SEA's complaint, which

²⁷ See Appendix, CX_003846-53, Gauthier Dep. Tr. 177:21-184:25. With respect to SEA's transition from store door to CY moves in January 2022 for rail movement and drayage movements by September 2022, Mr. Smith notes that this transition occurs and that SEA's theory of liability is that these claims, too, should be assessed against SM Line:

SEA contends that inland transportation charges incurred on containers shipped under CY terms also represent damages to SEA, as SM Line's failures compelled SEA to shift to CY terms, leading to the demurrage, rail storage and detention charges. And the need for SEA to build out the infrastructure to handle CY moves, along with the charges incurred during this transition were effectively caused by SM Line. PFF ¶ 266, n. 2.

alleged that SM Line’s failures to perform began “late 2020-mid 2021.” Appendix, CX_004378. Without providing any basis for excluding SEA’s claims before “late 2020,” Mr. Gauthier summarily assumes that \$153,295 of SEA’s claims should be excluded from consideration.²⁸ Appendix, CX_004385.

SEA addresses in turn below other specific topics on which Mr. Gauthier misapprehends the Smith Report’s conclusions or seeks to obfuscate the issues for the Presiding Officer.

3. The Gauthier Report is Replete With Errors and Misrepresentations Regarding SEA’s Payments

Mr. Gauthier claims that “SEA did not make \$14.6 million of payments to SM Line,” and misrepresents that Mr. Smith did not “address the actual recipients of these payments.” Appendix, CX_004385. This contention, which in its entirety encompasses two paragraphs, suggests a lack of understanding of basic notions of damages on the part of Mr. Gauthier.

The Smith Report details how entities other than SM Line received a substantial portion of the inland transportation charges *incurred and paid by SEA*. PFF ¶¶ 348-49, (“Whether the amounts [related to inland transportation] were paid to SM Line, a container terminal, a rail carrier or another party, the amount represents damages to SEA.”); PFF ¶ 358, Appendix, CX_004467 (“Other parties, such as P.B. Industries, Advanced International Freight, Samsung SDSA, and Paycargo also received a large share of the total inland transportation charges incurred by SEA. In all cases, the payments were for inland charges [for SM Line containers]”). Smith Report Exhibit 2 shows payments for demurrage and equipment detention totaled \$8.5 million, and are all based, calculation wise, on SM Line’s tariffs. PFF ¶¶ 344-45. Other charges, whether paid to rail carriers,

²⁸ For the sake of clarity, Mr. Gauthier’s rejection of SEA claims prior to late 2020 results in only an approximate \$64,000 difference in numbers between SEA and SM Line. CX_004385 Gauthier Report, p. 14.

terminals, or truckers are costs incurred and paid SEA for which SM Line is responsible on store door moves.

The Gauthier Report provides no explanation as to why SEA's payments must be made to SM Line to qualify as recoverable damages. SEA does not seek, nor has Mr. Smith performed his damages assessment, based on theories of restitution or unjust enrichment. Mr. Smith calculated the losses suffered by SEA in the form of compensatory damages. According to the LITIGATION SERVICES HANDBOOK, damages "seek to make a plaintiff whole as if the defendant had performed the contract in full." Weil, Roman, *et al.*, LITIGATION SERVICES HANDBOOK: THE ROLE OF THE FINANCIAL EXPERT, 133 (6th ed. 2017). Here, SM Line's failure to perform its obligations to deliver SEA's containers to the agreed inland destinations caused SEA to incur the inland transportation costs that were quantified in the Smith Report. Further, the Gauthier Report does not acknowledge that even for charges assessed by third parties or SM Line's subcontractors (such as rail charges), SM Line avoided having to pay such charges even though on store door moves those charges should have been the responsibility of SM Line. Thus, for example, while SM Line did not receive from SEA the roughly \$2.5 million that SEA paid to rail carriers, SM Line avoided paying that amount that it otherwise was obligated to pay by forcing SEA to pay those charges in order to have its cargo released at the rail head.

4. The Gauthier Report on the Impact of CNTs is Inaccurate

The Gauthier Report next discusses CNTs and, in essence, adopts SM Line's legal argument that a CNT appointment relieves SM Line of the responsibilities that exist in a store door move. Mr. Gauthier provides a quote from an alleged "CNT contract" without providing a citation to an actual document in the record. Appendix, CX_004379. He is not a liability expert and his opinions should be afforded no weight. As addressed in the liability section, there is no valid "CNT contract" as described by Mr. Gauthier. PFF ¶¶ 83-91. The use of CNT truckers, all vetted, hired,

and managed by SM Line, did nothing to relieve SM Line of, or redistribute, its door move obligations.

5. The Gauthier Report “Concentration of Charges” Theory is Wrong

One curious example which Mr. Gauthier cites as evidence that SEA supposedly took over responsibility for door moves charges concerns “long stay” containers. He claims that “long stay” charges should have been removed from SEA’s damages calculation, citing an e-mail string cited at Exhibit IV. Appendix. CX_004386; CX_004386-88. When questioned during his deposition, Mr. Gauthier could not point to where SEA assumed such responsibilities from SM Line:

Q. In this eight-page email chain, the only part where SEA got involved is at the top of the chain where Christopher Solarez asked Maria Kristina.

Do you see the same chain?

A. I do.

* * *

Q. Based on those three lines, *do you interpret those three lines as sufficient evidence of SEA having acknowledged either responsibility in terms of paying the [D&D] associated with it or that the containers were properly handled?*

A. The answer is yes, that they are acknowledging responsibility, in my opinion. They are – SM Line is communicating to Samsung that these containers need to be picked up by your – what are you going to do about it, implying that SEA is involved with the transaction with, presumably, the trucker. Therefore, acknowledging responsibility in the conduct of the transaction, which should be investigated and considered as a reduction in damages, potentially.

Q. *Okay. In this email, Maria Kristina does not respond, correct?*

A. *She does not, in this email.*

* * *

Q.I just want to say in this email alone which you have already testified that there is no input by SEA in this email chain, which is Exhibit 20 [to the Gauthier Deposition], right?

A. It is sent to Maria Fernando at Samsung, yes.

Q. Nowhere in this exhibit anyone from SEA commented, correct?

A. That’s correct.

Q. *Okay. So just looking at this exhibit, isn’t it equally plausible that it’s the SM Line that just punted its responsibility for managing truckers to SEA?*

* * *

A. I don't know that to be the case.

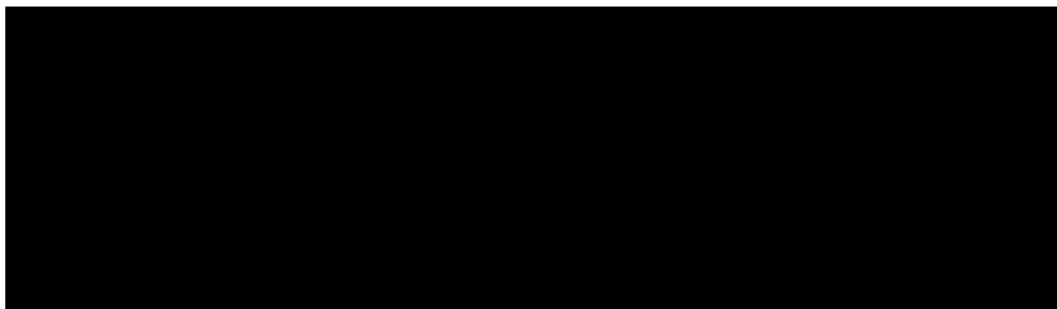
Q. Does this email give you any definitive answer one way or the other whether it is SM Line that's punting its responsibility or SEA assuming responsibility to handle the truckers?

A. In this isolated email exhibit, no, it does not.

Appendix, CX_003875; CX_003877; CX_003878-79; CX_003879. In other words, Mr. Gauthier's best example of why SEA should be liable for D&D charges associated with these "long stay" containers is an e-mail in which SEA never replies to SM Line's inquiry as to the disposition of those containers. In SEA's corporate deposition, Mr. Jeung Choi testified that while the SM Line container charges were "unjust," SEA's "policy was trying to get the containers out and moving. So we didn't have a choice but to pay and get those containers out." PFF ¶ 259-60. While Mr. Gauthier claims that other support exists to buoy his position, he neither provided such documents as exhibits to his report nor identified them in his deposition. PFF ¶¶ 378-80. As he admitted not having reviewed deposition transcripts, Mr. Gauthier was unaware of Mr. Choi's testimony quoted above. PFF ¶ 389.

6. Mr. Gauthier's Analysis Regarding "Samsung" Profits as Offsetting SEA's Damages is Faulty

The Gauthier Report suggests that the fact that global "Samsung" entities allegedly increased profits during the Relevant Time Period should somehow offset any damages SEA suffered due to SM Line's conduct. Mr. Gauthier states:



Appendix. CX_004388-89. Several problems exist with Mr. Gauthier’s “analysis” of Samsung’s profits. **First**, the Gauthier Report contains no citation or analysis to demonstrate that “Samsung” increased its profits by 20% during the Relevant Time Period. PFF ¶ 392. It is unclear whether Mr. Gauthier realizes that a 20% increase in revenue (which is approximately what is shown in his table at page 17 of the Gauthier Report) could result from an increase in prices, an increase in volume, or a combination of both. The Gauthier Report contains no analysis or support for the proposition that the entire increase (or any portion of the increase) in revenue came from price increases.

Second, the revenue increases cited by Mr. Gauthier are “Samsung Worldwide Revenues.” PFF ¶ 390. In other words, these figures are for worldwide sales—not just U.S. sales—and apparently include all products sold by Samsung, including mobile devices, laptops, cellular networks equipment, TVs and home appliances. PFF ¶ 390-93. An increase in revenue across all product lines across the world does not demonstrate increased revenue, prices, or profits for the home appliances imported by SEA via SM Line shipments.

Third, the report cited for the figures provided in the Gauthier Report is for Samsung Electronics Co., Ltd. in Korea, not Samsung Electronics America, Inc. PFF ¶ 393. In other words, the figures do not correspond with the actual party to this proceeding.

Last, even if Mr. Gauthier could demonstrate that SEA increased prices on the products imported via SM Line shipments, that would have no impact on SEA’s damages in this matter. SEA’s prices realized in the marketplace have no bearing on whether it was forced to pay inland transportation charges that it should not have had to pay in the first place.

7. The Gauthier Report Misconstrues Analysis of Third-Party Payments

The Gauthier Report highlights that a portion of the inland transportation charges were paid to SDSA (a Samsung-related entity), implying that these were not real costs incurred by SEA.

Appendix, CX_00438 [REDACTED]

[REDACTED] As with payments to truckers and other agents to reimburse such parties for inland transportation charges paid on Samsung's behalf (as discussed in the initial Smith Report) these payments were made to reimburse SDSA for payments it made on Samsung's behalf for SM Line related charges. SEA's corporate witness, Mr. Jeung Choi, testified that Samsung SDSA was paid as a reimbursement for the invoices that it paid for Samsung. Appendix. CX_002465. If there are demurrage charges, they are picked up by Samsung SDSA and SDSA would then invoice SEA for reimbursement of those charges:

[I]n order for SDSA to get reimbursed by SEA, SDSA would have to share the receipt that they paid to a certain supplier, whether that's the railroad or whether that's others, *with that information, we, SEA, would be paying SDSA upon as a pass-through. No other additional markup to that.*

Appendix, CX_002465. Mr. Jeung Choi further confirmed that SEA's "finance team reviews" these SDSA invoices. Appendix. CX_002465.

Once again, Mr. Gauthier did not read deposition testimony that explained the SDSA charges. PFF ¶¶ 379, 385. But instead – seemingly deliberately uninformed – he questioned these charges. Mr. Smith related his understanding of the SDSA/SEA arrangement during his deposition. Appendix, CX_004260; CX_004262, CX_140:6-16. The SDSA payments were all for charges in the same categories, such as demurrage, rail storage, yard storage, chassis usage, etc. as all of the other charges included in Mr. Smith's direct damages calculation. Appendix. CX_004467. As SDSA was in essence acting as a payment agent for SEA, and as SDSA was paying charges for which SM Line should have paid, these charges should be treated exactly as charges for which SEA directly paid SM Line. PFF ¶¶ 28, 95.

8. Mr. Gauthier Creates a Non-Existent "Reconciliation Process"

Mr. Gauthier references in two places in his rebuttal report – once in the introduction of the report and the other in the conclusion – to an alleged “reconciliation process” that purportedly existed between SM Line and SEA. Appendix, CX_004377-78; CX_004391. While the claimed reconciliation process was mentioned in passing at the beginning and end of the Gauthier Report, there is no section in his report that addresses this point; most likely because there is no “reconciliation process.”

Mr. Gauthier claims that Mr. Smith failed to [REDACTED]

[REDACTED]

Appendix. CX-004390-91. The term “reconciliation process” appears to refer to conversations regarding container releases between SEA and SM Line. The term “reconciliation process” was not a term of art defined in any process between SEA and SM Line, nor is it properly defined within the Gauthier Report. Mr. Gauthier further states, [REDACTED]

[REDACTED] Appendix, CX_004378; CX_004391. Mr. Gauthier points out that this “process” is evidenced in email correspondence of his attached Exhibit IV, but fails to identify which emails are representative of the alleged process—because they do not. Mr. Gauthier assumed that there was a “reconciliation process” in place, but when questioned about it at deposition he could point to nothing that supported his view that such a process was to be employed. Appendix. CX_003755.

For example, Mr. Gauthier was shown SM Line’s D&D Management Procedure, and he acknowledged having seen it before. Appendix, CX_003752-53; CX_003753-54. He was then asked whether this SM Line document – or any other document that Mr. Gauthier had seen in this proceeding – had any portion which related to the discounting or inactivation of D&D charges or to the “reconciliation process” that he claims should have been pursued by SEA on its claims:

Q. Would a process for discounts or inactivation of [D&D] charge be irrelevant to opining on the sufficiency or the propriety of the charges that are at issue by SEA in this matter?

MS. MURPHY: Objection.

THE WITNESS: *I believe that what I refer to as a reconciliation process between the two parties relative to demurrage and other related charges is – has been, historically, and is, for purposes of this litigation, a working procedure, an industry standard, if you will.*

BY MR. YOON:

Q. What you have labeled as a reconciliation process, did you see that term anywhere in this document?

A. I don't recall.

Q. *Do you recall getting that term, what you have called reconciliation process, from any of the documents produced by SM Line in this matter?*

MS. MURPHY: Objection.

THE WITNESS: *No, I do not. It's a term that I use, not solely in this matter, but in the other matter I think we referred to as Matter Number 1 or – it's a term of art that I use for that action.*

Appendix. CX_003754-55. In short, the “reconciliation process” cited by Mr. Gauthier is a product of his own creation. In reality, the actual process to release a container was an automated, essentially non-appealable decision carried out by the ALPS system, with the U.S.-based employees of SM Line having virtually no ability to void or discount D&D charges issued by the SM Line ALPS system:

- The invoices were “automatically generated” from the ALPS system and were not being reviewed for accuracy. PFF ¶ 224.
- The invoices are not monitored for free time “because it's all done through the ALPS system.” PFF ¶ 226.
- No standard procedure existed within SM Line for a disputed charge to be cancelled or for a stop clock order to be issued, which would only be processed when a customer brings it to SM Line's attention. PFF ¶ 225, 231, 236.

Thus, Mr. Gauthier's implication that a “reconciliation process” was established on a container-level basis is – at best – misleading. At worst, it either shows a lack of understanding of

the facts of this dispute or a deliberate attempt to mischaracterize the record. Mr. Gauthier's suggestion – that the correspondence demonstrates that a fair reconciliation process was available, when the evidence indicates that SEA had to acquiesce to pay SM Line (or third-party vendors) unconditionally to get its containers released – is not credible.

9. The Gauthier Report Mischaracterizes the Nature of an Expert Damages Report

In the Smith Report, Mr. Smith noted that in quantifying compensatory damages, it is necessary to assume liability – that the alleged wrongful act did occur. This is part of the process that a damages expert is supposed to undertake. Indeed, as noted above, Mr. Gauthier agreed that this approach was appropriate.

Review of the Gauthier Report, however, reveals that Gauthier's commentary largely consists of arguments contesting SM Line's liability. Mr. Gauthier suggests that when SEA recommended a CNT, SM Line has no liability. PFF ¶ 386. He suggests that because there was a "reconciliation process," SM Line has no liability. Appendix. CX_004390-91. Yet Mr. Gauthier testified that "I am not here to determine liability." PFF ¶ 373. Indeed, Mr. Gauthier specifically states that he did not assume that SM Line was liable when responding to the Smith Report. PFF ¶ 383. Mr. Gauthier does not dispute that SEA paid \$14.6 million in inland transportation charges on containers shipped with SM Line, but does not acknowledge that a single charge was improper, based on his "liability" assumptions and assertions. PFF ¶ 384.

In sum, the Gauthier Report ought to be given minimal evidentiary weight by the Presiding Officer, and Gauthier's opinion that SEA and the Smith Report do not demonstrate that SEA suffered any financial damages due to SM Line's alleged conduct should be rejected.

C. SEA Has Met Its Burden of Proving its Actual Damages Caused by SM Line

“The party bearing the burden of persuasion must prove its case by a preponderance of the evidence.” *TCW, Inc.*, 2021 WL 794708, at *13 (FMC Feb. 19 2021) (on appeal) (citing *Steadman v. SEC*, 450 U.S. 91, 102 (1981)). However, “[w]hen the party with the burden of persuasion produces sufficient evidence (characterized as a *prima facie* case), the burden of production shifts to the other party to produce evidence rebutting that case.” *In re S. Carolina State Ports Auth.*, 27 S.R.R. 1137, 1161 (FMC 1997); *see also Steadman*, 450 U.S. at 101 (“[w]here a party having the burden of proceeding has come forward with a *prima facie* or substantial case, he will prevail unless his evidence is discredited or rebutted.”). Here, in response to SEA’s damages submission, including hundreds of pages of documented charges supported by massive financial supports, SM Line has proffered the Gauthier Report (along with Mr. Gauthier’s testimony), which largely argues that Mr. Smith has not gotten granular enough in his analysis, which in turn is premised on his misplaced assertions on liability arguments about which he is no expert.

First, SM Line and its expert misunderstand how the burden should apply in the context of store door moves. Having established (i) that SEA paid the charges alleged in connection with SM Line transportation of SEA cargo, and (ii) that the vast majority of the charges were incurred in connection with through bills of lading under which SM Line was responsible for arranging and paying for the ocean and the inland transportation, SEA has at a minimum established a *prima facie* case that the charges SEA paid were proximately caused by SM Line’s alleged violations. *See Intermodal Motor Carriers Conference, Am. Trucking Ass’n, Inc., v. Ocema, et al.*, FMC Dkt. No. 20-14, 2024 WL 641501, at *38 (FMC Feb. 13, 2024) (once Complainant established a *prima facie* case of unreasonableness, Respondents needed to offer a justification for the challenged practices); *Adenariwo*, 2013 WL 12618258, at *7 (FMC Mar. 7, 2013). SM Line and Mr. Gauthier fail to rebut SEA’s *prima facie* showing of causation, *e.g.*, they fail to rebut or explain with a

legitimate Shipping Act justification why inland transportation charges, which should be for SM Line's account (as part of a store door move) should instead have been borne by SEA. SEA's position – the correct position – is that SM Line had the burden to rebut, if it can, why SM Line was justified in shifting the responsibility and costs to SEA, and SM Line failed to meet that burden.

Second, even if the burden was placed on SEA, SM Line's proposed exacting standard of proof for damages simply is not the law. *MAVL Capital*, 2021 WL 4554718, at *28 (“the amount [of damages] can be based ... on a reasonable approximation supported by evidence and by reasonable inferences”). SEA has produced sufficient evidence of its damages (more than “a reasonable approximation supported by evidence and by reasonable inferences”) that the burden of proof on damages (if it was SEA's burden) would shift to SM Line to rebut the evidence.

Over the course of discovery, SEA produced detailed and reliable business records of \$14.6 million D&D charges paid, as well as supporting invoices and documentation, demonstrating the amounts of demurrage, detention, and accessorial charges incurred because of SM Line's failure to perform its transportation services. SM Line has not discredited or rebutted that SEA incurred these charges. To the contrary, SM Line's own documents confirm, for example, SEA recorded payments of \$1.3 million of detention while SM Line showed it collected \$1.2 million over roughly the same period. The issue is not the amount of the charges paid, but SM Line's attempt to disclaim liability. As set forth above, SM Line's conduct in key respects was applied indiscriminately across the major categories of charges, and the violations alleged were common to those major categories, *e.g.*, SM Line's actual D&D practices did not incentivize the movement of cargo consistent with the Incentive Principle, SM Line charged SEA for all charges without first considering its responsibility for the underlying performance failures causing the charges, and SM Line did not have a meaningful process for evaluating or addressing improper charges. SM Line's unreasonable

conduct was applied to groups of charges on a wholesale basis, such that if SM Line believes that it could justify its conduct on specific, individual containers, then SM Line should offer evidence to support those contentions, if it could.²⁹

VI. CONCLUSION

As a result of SM Line's unreasonable practices and procedures, SEA has suffered actual injury directly related to SM Line's violations of the Shipping Act and OSRA. With liability established, the FMC should order that reparations be awarded to SEA.

SEA has methodically and thoroughly established that it has suffered damages in the principal amount of **\$14,534,787.00** (*supra* fn. 25), in direct damages and over **\$2.6 million** in additional damages incurred due to SM Line's violations. The Presiding Officer should award reparations to SEA for those damages, pre-judgment interest, and such other and further relief as is deemed just and proper. SEA further seeks and is entitled to its attorneys' fees and costs in this proceeding in due course. 46 U.S.C. § 41305.

Respectfully Submitted,

Dated: April 15, 2024

/s/ Chris Nolan

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²⁹ Nevertheless, in the event the Presiding Officer finds that a more granular container by container analysis on responsibility is somehow necessary, or that SEA's damages submission is lacking in some manner, outright dismissal of those damages in its initial decision would not be appropriate. Instead, the Presiding Officer could bifurcate consideration of liability and damages calculation, or otherwise consider the damages evidence to whatever level of detail desired at a hearing.

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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